COMMERCE NOTES FORM 2

MASHAKE SECONDARY SCHOOL

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TOPIC 1: PRODUCTION

Forms of production

Satisfaction of human needs and wants is done by provision of goods and services which is done through direct and indirect production NB// direct and indirect production should not be confused with direct and indirect services

DIRECT PRODUCTION

- ✓ This is the provision of goods and services for own consumption and they will be to one's own taste
- ✓ This involves farming to produce gods that will be for own consumption with little or no surplus for sale
- ✓ An example of direct production is subsistence farming

Characteristics

- ✓ There is use of family labour in the production process and have independence in production
- ✓ Fewer goods are produced since they only produce to satisfy themselves and not for sale
- ✓ They usually produce poor quality goods since they are produced to one's taste
- ✓ There are poor standards of living in direct production and there is a lack of variety which in turn satisfies fewer needs and wants.
- ✓ There is use of simple tools in the production process such as hand hoes and axes which slows down the production process.

Advantages

- ✓ Simple tools are used.
- ✓ Goods are produced to one's taste.
- ✓ Family labour is used hence low operating costs.
- ✓ Full utilisation of available resources.
- ✓ Saves on labour since there is use of family labour
- ✓ Saves on tool since there is use of simple tools
- ✓ Leads to self-satisfaction

Disadvantages

- ✓ Poor quality goods are produced
- ✓ Lack of other related skills
- ✓ Does not satisfy some of the basic needs
- ✓ Lack of variety
- ✓ It takes long to produce goods
- ✓ High cost of production

- ✓ There is low productivity rate
- ✓ There is no specialisation
- ✓ Poor standards of living

INDIRECT PRODUCTION

- ✓ It is the production of goods and services with a large surplus to sell
- ✓ This involves mass production of the goods and services
- ✓ There is also use of modern technology to increase t e output
- ✓ This is also known as commercial farming and there is specialisation e.g. cattle ranching, crop production, dairy farming, ornamental horticulture etc.

Characteristics

- ✓ There is specialisation through provision of the same product line enabling them to be experts
- ✓ There is provision of surplus goods and services due to mass production
- ✓ There is provision of quality goods and services since they want to lure customers to buy their products
- ✓ There is variety and enables satisfaction of more needs and wants of the consumers
- ✓ There is use of sophisticated technology hence making the production n process fast and efficient.
- ✓ There is interdependence of the workforce hence making division of labour easy and increasing productivity
- ✓ Mass production enables organisations to enjoy low cost of production.

Advantages

- ✓ Leads to trade
- ✓ There is a variety of goods produced
- ✓ More goods are produced [mass production]
- ✓ More human needs and wants are satisfied
- ✓ Low cost of production
- ✓ There is specialisation which leads to interdependence of workforce
- ✓ High quality goods and services are produced
- ✓ The use of machinery enables production to be fast
- ✓ Leads to employment creation
- ✓ Raises standards of living

Disadvantages

- ✓ High operation costs
- ✓ Produces standardised products
- ✓ Mechanisation leads to unemployment
- ✓ There is no full utilisation of resources
- ✓ Does not save on labour since there is need to employ a large labour force
- ✓ Does not save on tools since there is use of sophisticated tech
- ✓ There is no self-satisfaction

Division of labour and specialisation

Division of labour occurs when work or trade activities are divided into simpler tasks that are carried out by various individuals
Specialisation occurs when a person specifically trained performs tasks that he or she is best at or talented at e.g. teacher, carpenter, and doctor

FORMS OF SPECIALISATION

Specialisation by country this occurs when country produces a particular product to which the country is best suited or has comparative advantage e.g. Zimbabwe produces tobacco, Zambia produces copper, Congo produces diamonds.

Specialisation by region this occurs when region produces a particular product to which the country is best suited or has comparative advantage e.g., Matebeleland is known for ranching, eastern highlands is known for producing tea etc.

Specialisation by town this occurs when a town produces a particular product to which the country is best suited or has comparative advantage e.g. Victoria Falls is known due to tourism, kwekwe is known due to iron and steel production

Specialisation by firm this occurs when a firm produces a particular product to which the country is best suited or has comparative advantage e.g. Gtel produces phones, Mazda produces cars and old mutual provides insurance policies

Specialisation by individual this occurs when an individual produces a particular product to which the country is best suited or has comparative advantage e.g. commerce teacher, dentist, carpenter etc.

Advantages of division of labour and specialisation

- ✓ There is division of labour
- ✓ Specialisation improves efficiency in the production process
- ✓ There is consistency in the quality of products
- ✓ There is a lower cost of production due to mechanisation and high productivity
- ✓ High quality products due to specialisation
- ✓ Enjoys economies of scale due to bulk buying
- ✓ Reduced wastages thru the use of sophisticated technology
- ✓ Labour costs are usually low due to use of sophisticated technology
- ✓ The production process is fast this gives the business competitive advantage
- ✓ Continuous production enables the business to meet unexpected changes in demand
- ✓ These of skilled labour mean there minimum supervision needed in the production process
- ✓ It leads to trade
- ✓ Specialist labour enables them to share ideas and improve the quality of goods and production process
- ✓ Mass production can result to low prices of goods

Disadvantages

- ✓ Leads to standardisation of products hence compromising quality
- ✓ Mechanisation leads to unemployment
- ✓ There is interdependence of workers [if one worker is absent the whole process halts]
- ✓ There is high costs incurred by the business e.g. insurance and warehouse costs
- ✓ Speedy production can result in errors which are costly to the organisation
- ✓ Loss of craftsmanship
- ✓ Repetition leads to boredom and monotony
- ✓ Risk of occupational diseases is increased

Mass Production

Mass production is defined as the provision of goods and services on large scale or quantities, these goods are usually standardised [identical]. Mass production uses more efficient methods of production and is based on division of labour, specialisation and continuous production process.

FACTORS TO CONSIDER WHEN CHOOSING A PRODUCTION METHOD

- ✓ Quantities of goods to be produced
- ✓ The type of product the company is willing to make
- ✓ The cost of producing the commodity
- ✓ The variety of goods to expected by consumers
- ✓ The amount of capital required
- ✓ Assets required such as machinery, motor vehicles

Advantages

- ✓ There is division of labour
- ✓ Specialisation improves efficiency in the production process
- ✓ There is consistency in the quality of products
- ✓ There is a lower cost of production due to mechanisation and high productivity
- ✓ High quality products due to specialisation
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Disadvantages

- ✓ Continuous processes can lead to disruption of the whole production process if one station beaks downs
- ✓ Machinery required for mass production is expensive

- ✓ Leads to standardisation of products hence compromising quality
- ✓ Mechanisation leads to unemployment
- ✓ There is interdependence of workers [if one worker is absent the whole process halts]
- ✓ There is high costs incurred by the business e.g. insurance and warehouse costs
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Chain of Distribution

Chain of distribution

✓ Goods after production need to reach the consumer s from the manufacturers and various channels will be used to make this successful

FACTORS TO CONSIDER WHEN CHOOSING A DISTRIBUTION CHANNEL :

- **Type or nature** of the goods to be distributed e.g. perishability and fragility of the goods these require short channel s whilst some goods are durable e.g. soap,clothes require long channels
- **Quantity** of the goods or order
- **Size of the business** e.g. large businesses use the direct channels whilst small businesses use the longer channels due to financial resources
- **Urgency of the delivery** e.g. goods that need speedy delivery such as drugs when there is a disease outbreak need short channels
- **Costs involved**, some channels involve lower costs such as the traditional channel
- **Government policies** some goods require the shortest channel such as tobacco and petroleum and other essential goods
- **Distance involved,** the shorter the channel the lower the cost such as distribution costs, storage costs whereas those that import the costs will be higher

1. Producer → Wholesale → Retailer → Consumer
2. Producer → Wholesale → Consumer
3. Producer → Regional Distribution Centre → Large-scale Retailer → Consumer
4. Producer → Retailer → Post Office → Consumer
5. Producer → Producer's Retail Outlet → Consumer
6. Producer → Consumer
7. Producer → Marketing Board → Wholesale → Retailer → Consumer

Route 1
This is known as the traditional channel and is suitable for durable goods that have a Long-life span without decaying e.g. Soap, clothing and wine just to mention a few

- ✓ Wholesalers
- ➢ Buy goods in bulk form manufacturers
- ➢ Break bulk to suit consumers’ needs
- ➢ Sore goods in warehouses
- ➢ Sell a variety of goods to retailers
- ➢ Retailers sell goods in single units to consumers

Route 2
This chain of distribution is used by cash and carry wholesalers who sell a variety of goods to consumers using self-service and the goods will be sold on a cash and carry basis

- ✓ Wholesalers
- ➢ Buy goods in bulk form manufacturers
- ➢ Break bulk to suit consumers’ needs
- ➢ Operate in warehouses for cheaper rentals
- ➢ Sell through catalogues
- ➢ Sell case lots directly to consumers

Route 3
Route is ideal for sale of durable product such as furniture, electrical goods and a variety of house hold goods

- ✓ Large-scale retailers
- ➢ Have large capital and buy directly from manufacturers
- ➢ Buy in bulk and enjoy economies of scale and break bulk to consumers
- ➢ Have their own transport
- ➢ Include supermarkets, hyper markets and department stores

Route 4
Route is ideal for sale of durable product such as furniture, electrical goods and a variety of house hold goods that can be handled by the post office, this channel can be used by mailorder firms that employ agents to distribute catalogues

- ➢ Consumers order goods through the post office
- ➢ The goods are delivered to consumers through the post office
- ➢ Consumers can pay for the goods at the post office when the goods are delivered

[Proforma invoice is used]
NB// the costs are high for mail order firms due to packaging, advertising, printing and posting of catalogues

Route 5
This chain of distribution is where the producer sells directly to the consumer. This route is used:

➢ When producers own retail outlets receive goods from the manufacturers and sell directly to consumers. Bata footwear is an example

➢ Used when manufacturers push their own products such as footwear, assembled cars and radios

- Farmers can have their own retail shops and sell perishables produced from their farms e.g. potatoes, vegetables and fruits
- Tied shops that sell goods of one manufacturer only

Route 6

This chain is the shortest route where both wholesalers and retailers have been eliminated. It is ideal for the sale of the following goods directly to the consumers:

- Fragile goods to reduce unnecessary handling such as glass and eggs
- Goods with a slow rate of turnover such as cars, and furniture
- Goods made by order such as cakes , clothing
- Perishable farm products such as milk, meat, vegetables, fruits
- ✓ This is the only channel used for provision of direct services such as personal services given to consumers, there are no middlemen e.g. teachers , lawyers, and musicians

Route 7

This I the channel that is responsible for agriculture produce that is sold to marketing boards by farmers, marketing boards buy primary products and sell to both retailers and wholesalers. Examples of marketing boards are Grain Marketing Board [GMB], Tobacco International Marketing Board [TIMB]

TOPIC 2: TRADE

Retail trade

Retailers are middlemen who buy goods in bulk from producers and wholesalers, and sell them in unit form to the final consumer.
Some retailers operate on a small scale and others operate on a large scale. There are many factors that have to be considered when a retail outlet is established.
There are also new trends in the retail trade, but many small-scale retailers continue to survive despite competition from large-scale retailers.

Retailing

Retailing is the final link in the chain of distribution of goods. Retailing involves all activities that provide goods to the final consumer.

The function of retailers

Both small- and large-scale retailers provide important services that assist producers, wholesalers and consumers. The following functions are provided by retailers:

✓ Break bulk - The word 'bulk' means large quantities. Retailers buy goods in bulk from either the manufacturer or wholesaler and sell them to consumers in smaller quantities. For example, a retailer buys matches in large cartons but sells them in single small boxes to consumers.

✓ Provide delivery - Large-scale retailers use their own transport to carry goods from the manufacturer and also to carry goods to the customer's premises.

✓ Preparing goods for sale - The retailer buys goods in bulk and breaks bulk of goods that need to be graded, packaged, weighed and priced so that they become useable.

✓ Provide variety - Retailers buy a wide range of goods from manufacturers and wholesalers. The retailer stocks a wide variety of goods that consumers need and want, for example perishables, groceries and household goods.

✓ Store goods - Retailers buy large quantities of goods from wholesalers and producers, and keep them in their warehouses until they are required by customers.

✓ Convenient location - Retailers bring goods nearer to consumers by locating their businesses where customers can easily reach them. This means that retail shops are located very close to customers and close to roads. This makes it possible for customers to travel short distances to retail shops, thus the customer saves time and money.

✓ Allow credit - Some retailers allow consumers to obtain goods and pay for them later.

✓ Provide information and advice – Retailers meet customers directly and more frequently and are able to pass information from manufacturers to consumers, especially on new technology e.g. new generation of computers and receives the customers' complaints through the retailers.

✓ Provide after-sale services - Retailers provide services, such as installation, repairs and guarantees, to consumers after they have purchased goods. These after-sales services are usually provided on durable goods such television sets, digital satellite television decoders

✓ Constant supply - Retailers ensure that goods are readily available when they are needed.

Types of retailers

Retailers as discussed above are the enterprises involved on selling of small units to customers and consumers and there are two types of retailers namely:

- ✓ Small scale retailers
- ✓ Large scale retailers

Small scale retailers

Characteristics of small scale retailers

- ✓ Small-scale retailers buy goods in bulk from wholesalers and sell them in smaller units to consumers.
- ✓ They are commonly found in rural areas, towns and cities selling a variety of goods like groceries, clothes and motor spares.
- ✓ They operate from small premises.
- ✓ They are businesses that are easy to start, since they have very few legal formalities.
- ✓ They are usually individually or family-owned retail outlets.
- ✓ Small-scale retailers need small amounts of capital in order to start.
- ✓ They serve small markets.
- ✓ Their overhead expenses are usually low.
- ✓ They locate their business close to their customers.
- ✓ They keep a limited amount of stock.
- ✓ Usually owned by individuals
- ✓ Found in the private sector
- ✓ In Zimbabwe the owners need daily or monthly licenses from the town council in order to operate.

Such retailers include:

- ➢ independent shops (general dealers)
- ➢ flea markets
- ➢ Hawkers
- ➢ Pedlars
- ➢ Street-side vendors
- ➢ Market stall holders.

Road side traders

- ✓ Are located alongside roads and popular tracks
- ✓ They display their goods on movable tables
- ✓ Sell fast moving goods like sweets, maize, tomatoes and other perishable foodstuffs
- ✓ They only need short term licences. (Harare CDB $20 per day)

Itinerant traders (hawkers, peddlers etc.)

- ✓ These traders move from door to door selling goods on foot.
- ✓ Trade on bicycles or push carts for example the ice-cream cycles.
- ✓ Products include foodstuffs like ice-cream or cheap jewellery.

Flea markets

- ✓ Sell old and used goods e.g. second hand clothes(mazitye/ bhero)
- ✓ sell a variety of goods
- ✓ Situated in open and closed shops e.g. Mupedzanhamo

Market stall-holders
- ✓ Occupy small areas
- ✓ Sell a variety of goods
- ✓ Pay rentals for space occupied to the town councils

Mobile shops
- ✓ Use vehicles as moving shops
- ✓ Usually sell on a cash basis
- ✓ Sell a variety of goods
- ✓ Usually go where there is business

Independent shops
- ✓ They are owned by individuals and are located in both rural and urban areas.
- ✓ They are small stores with a single location or up to three locations often owned by an individual, a family or a two person partnership.
- ✓ They enjoy all profits
- ✓ Quick decision making
- ✓ Small amount of capital required to start

Advantages/ Disadvantages of Small Scale Retailers

Advantages of small scale retailers to Consumers
- ✓ Open for long hours or even during holidays
- ✓ Sell a variety of goods
- ✓ Cater for individual tastes
- ✓ Sell in very small units
- ✓ May be specialists, selling one line goods
- ✓ Offer
- ➢ personal services
- ➢ delivery services
- ➢ after sales services
- ➢ informal credit to well-known customers

Advantages to the Retailer
- ✓ The retailer requires little capital to establish the business
- ✓ The retailer benefits by having low overhead expenses
- ✓ There are less legal formalities required to be observed
- ✓ Flexible to changes in market tastes
- ✓ They are located close to customers and
- ✓ Save consumers' time and transport fares.
- ✓ They often open for long hours.
- ✓ They provide personal and after-sales services to customers
- ✓ Little capital is required to start the business.
- ✓ Independent traders often give credit to regular customers.

- ✓ The trader is able to make quick decisions in the business.
- ✓ They offer goods in small quantities.
- ✓ They have low overhead expenses.
- ✓ Families usually control them.

Advantages to Consumers

- ✓ Goods are usually sold at high prices
- ✓ Slow in serving customers as they have to stand in queues
- ✓ Goods sold may not be fresh
- ✓ Choice of goods is limited
- ✓ Normally do not offer guarantees.

Disadvantages to consumers

- ✓ Small scale traders usually sell goods at higher prices.
- ✓ They can be slow at serving customers.
- ✓ The goods they sell may not be fresh.
- ✓ There is a limited choice of goods.
- ✓ Do not normally offer guarantees.

Disadvantages to the retailer.

- ✓ Has unlimited liability.
- ✓ Bears the losses and debts alone.
- ✓ Decision making may be poor since there is no one to consult.
- ✓ There is no room for specialisation.
- ✓ There is limited room for expansion due to limited sources of capital.
- ✓ There is no continuity after the owner dies.
- ✓ Prices of goods are usually high.
- ✓ The trader may be overworked.
- ✓ Cannot borrow money from financial institutions due to lack of collateral.

TYPES OF RETAILERS

LARGE-SCALE RETAILERS

Characteristics

- ✓ Large-scale retailers operate from large premises.
- ✓ They have many branches.
- ✓ They use their own brands and have their own transport and storage facilities.
- ✓ They have large amounts of capital to buy in bulk from producers and obtain large discounts in the process. They are therefore able to offer competitive prices.
- ✓ They serve large markets, employ many workers and require large amounts of capital to operate.
- ✓ Their services are impersonal, that is, they have no direct contact with the buyers.

Examples of large-scale retailers are:

- ➢ Supermarkets

- Hypermarkets
- Multiple shops (chain stores)
- Department stores
- Retail co-operatives.

SUPERMARKET

- A large shop with a minimum floor area of 186 square meters, sells household goods and grocery on a cash and carry basis. They are mainly situated in busy areas like suburbs and growth points.
- has many check-out points and a parcel counter or bays
- Has security measures e.g. guards, T.V circuits, mirrors etc.
- offers trolleys and baskets for carrying goods in the shop
- displays goods according to uses
- sells branded and pre-packaged goods
- goods are individually priced
- goods are usually fresh
- has wide aisles
- offers self-service method of selling
- offers a variety of goods
- places daily used commodities at the back e.g. milk and bread

Advantages of supermarkets

- • Customers can shop at leisure without being hurried to buy.
- Supermarkets provide a wide variety of goods from different manufacturers.
- Goods are sold at low prices since supermarkets are able to buy in bulk directly from manufacturers.
- Customers can handle and inspect goods before buying them
- Self-service results in speedy shopping since customers quickly pick goods they want.
- Customers can take advantage of loss leaders.
- The goods are fresh.
- Few shop assistants mean low labour costs.
- Self-service promotes impulse buying, which results in higher sales.
- Goods in a supermarket are pre-packed and branded and therefore easy to identify.
- There are no bad debts since goods are sold for cash.

Disadvantages of supermarkets

- Supermarkets do not offer personal services to customers. For example, they do not sell goods on credit or offer free delivery.
- There is a high rate of shoplifting and pilferage, which result in losses for the supermarket
- They encourage impulse buying and overspending.
- There may be inadequate parking spaces for vehicles if they are located in the city centre.

HYPERMARKET

- a large shop with a minimum selling space of 4500 square metres
- situated on the outskirts of town where:
- land is cheap and plentiful
- there are good communication links such as roads

- ✓ provides a car park
- ✓ sells foodstuffs and household goods
- ✓ sells gods at low prices(Small Profit Quick Returns or loss leaders)
- ✓ sells goods on cash and carry basis
- ✓ sells branded and pre-packaged goods
- ✓ all goods are individually priced
- ✓ goods sold are usually fresh
- ✓ provides bays or parcel counters
- ✓ may provide restaurants, banks, satellite shops, playing grounds and garages
- ✓ has large aisles
- ✓ has security measures e.g. mirrors and guards
- ✓ has off-peak shopping hours
- ✓ normally open during the holidays
- ✓ caters for the car owning public
- ✓ sells a variety of goods

Advantages of hypermarkets

- ✓ Hypermarkets provide a wide variety of goods.
- ✓ Prices are low.
- ✓ Customers buy goods at their own pace.
- ✓ Customers can inspect goods and compare prices and quality before buying.
- ✓ Self-service makes shopping fast.
- ✓ Customers can move around and pick their own items without assistance.
- ✓ They have large car parks for customers.
- ✓ They can open for longer hours and during weekends and over holidays.

Disadvantages of hypermarkets

- ✓ They do not offer personal services to customers.
- ✓ They do not offer credit to customers.
- ✓ They do not provide delivery services.
- ✓ Self-service encourages impulse buying and overspending.
- ✓ Hypermarkets are often located far away from where customers live and cater for the customers who own cars.

DEPARTMENT STORES

- ✓ a multi-storey building with several shops under one roof
- ✓ located in the city centre where land is more expensive
- ✓ sells a wide range of goods in different departments
- ✓ each department sells one line of goods
- ✓ the buyer is responsible for the orders of the department
- ✓ each department has a buyer or a department manager
- ✓ sells high quality merchandise
- ✓ offers luxurious facilities e.g. carpets, music restaurants and entertainment
- ✓ employs trained uniformed staff that offer personal services
- ✓ sells goods at high prices
- ✓ has centralized accounting advertising and purchasing systems

Advantages of department stores

- ✓ They have a wide variety of goods and thus provide one-stop shopping for customers.
- ✓ The goods are sold in luxurious surroundings which are comfortable.
- ✓ They offer high-quality goods to customers.
- ✓ They offer delivery services and credit facilities to customers.
- ✓ They buy goods in bulk from manufacturers at low prices.
- ✓ They employ qualified staff in each department to advice customers on what to buy.
- ✓ A department that runs at a loss may be carried by other departments.

Disadvantages of department stores

- ✓ They require large amounts of capital to set up.
- ✓ They have high operating costs, such as rent, expensive displays and trained shop assistants.
- ✓ The goods sold are expensive.
- ✓ They are usually situated where parking space is scarce.

MULTIPLE SHOPS

- ✓ located in busy shopping centres
- ✓ a shop with several branches e.g. Edgars
- ✓ all branches have similar shop fronts and use same name for easy recognition
- ✓ all branches have similar layouts
- ✓ sells narrow range of products or one line products
- ✓ all branches are controlled from the Head Office
- ✓ each branch has a branch manager
- ✓ head office buys goods in bulk for all branches from manufacturers at reasonable prices and favourable trade discounts
- ✓ branches benefit from economies of scale
- ✓ has own warehouses and transport facilities
- ✓ all branches sell at same prices
- ✓ quality of goods is the same in all branches
- ✓ goods usually sold at low prices
- ✓ stock and staff can be transferred from one branch to another
- ✓ may offer credit facilities
- ✓ accounts may be transferred to any branch
- ✓ all accounts are controlled from the Head Office
- ✓ Head Office advertises for all branches as advertising benefits all branches leading to low advertising costs for all branches
- ✓ overhead expenses are spread since branch pays for its rentals, rates, water and electricity
- ✓ customer can return goods at any branch
- ✓ losses made by one branch can be shared by all the other branches
- ✓ can manufacture their own products for example Bata

Advantages of multiple shops

- ✓ Staff and goods can be transferred from one branch to another.
- ✓ Centralised buying enables bulk buying, which enables multiple shops to sell goods at low prices since they receive large discounts from manufacturers.

- ✓ Multiple shops employ skilled staff, such as buyers, marketers and display specialists, who improve the profitability of the shops.
- ✓ Multiple shops may allow credit.
- ✓ Centralised control saves overheads. For example, money spent on advertising benefits all branches.
- ✓ Branches that run at a loss can be carried by other branches that are doing well.
- ✓ Multiple shops are easily recognised since they have similar shop fronts.
- ✓ Customers can return and exchange unsatisfactory goods at any branch.
- ✓ Accounts can be paid at any branch.

Disadvantages of multiple shops

- ✓ A lot of capital is required to set up multiple shops.
- ✓ A fall in demand of goods sold by the chain stores leads to a serious fall in profits.
- ✓ A great degree of management control is required for such a large number of branches.
- ✓ They have high operational costs, for example the cost of distributing goods to the branches is high.
- ✓ Decision-making can take a long time.

VARIETY CHAIN

- ✓ Offers variety for example OK and TM
- ✓ located in busy shopping centres
- ✓ a shop with several branches e.g. Edgars
- ✓ all branches have similar shop fronts and use same name for easy recognition
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RETAIL CO-OPERATIVE SOCIETIES

- ✓ a large scale retail outlet found in the private sector
- ✓ formed by customers to enable bulk buying from manufacturing companies at low prices

- ✓ may buy from cooperative wholesale societies
- ✓ sells to both members and non-members
- ✓ membership is open to customers by paying a subscription or buying shares in the co-operative
- ✓ each member is entitled to one vote that is there is democratic control
- ✓ members elect a management committee
- ✓ members are paid dividends after a year or get a rebate which is an amount of surplus shared in proportion to the amount they would have spent in purchasing goods in the cooperative society
- ✓ sells a variety of goods at low prices
- ✓ may offer special benefits to members e.g. scholarships or death benefits
- ✓ members may be trained in business management
- ✓ members may buy on credit
- ✓ raises a large amount of capital to start the retail outlet
- ✓ members exchange information and ideas

Advantages of retail co-operative shops

- ✓ • Members buy quality goods at low prices.
- ✓ Members get a share of the profits.
- ✓ Co-operative shops sell a wide variety of goods.
- ✓ Members are able to buy goods on credit.
- ✓ Members receive special benefits, such as death and educational benefits and other welfare services.
- ✓ There is sharing of ideas.
- ✓ Members receive interest for their capital contributions.
- ✓ Co-operatives are democratically controlled.

Disadvantages of retail co-operative shops

- ✓ Membership is not permanent since members can leave at any time.
- ✓ Some co-operatives are not run efficiently.

MAIL ORDER FIRM

- ✓ a large scale retail outlet found in the private sector
- ✓ located in the industrial area or outskirts of a town
- ✓ operates from a warehouse
- ✓ does not need expensive displays
- ✓ has low rental expenses
- ✓ advertises through catalogues or magazines
- ✓ employs part time agents
- ✓ sells a wide range of goods
- ✓ may sell through samples
- ✓ orders are sent and received through the Post Office
- ✓ shopping is done at home anytime
- ✓ goods may be returned if the customer is not satisfied
- ✓ Incurs high costs of postage, packing and advertising.

Payment for the goods can be on a cash or credit basis and methods of payment used include:

- **Cash on delivery (COD)** - The customer pays for the goods when collecting them from the post office. In this way, the post office acts as a collection agent for the trader.
- **Cash with order (CWO)** - The customer pays when placing the order.Payment, whether by cash, cheque or credit card, is sent together with the order form.
- **Deposit and instalment** - The customer pays a deposit when sending an order or when collecting goods from the post office. The balance is then paid in instalments.

Advantages of mail order shops

✓ Shopping from mail order shops can be done any time using catalogues or through ecommerce
on the Internet.
✓ Customers can buy goods from the comfort of their homes, thereby saving time and the costs of travelling.
✓ These businesses operate from cheap premises, so the trader saves on lower rent and other overhead expenses.
✓ If the business sells on a cash-only basis, capital is not tied up in bad debts.
✓ Customers may be allowed a period of credit.
✓ Unsatisfactory goods can be returned to the seller.
✓ There is no need to send reminders to customers if goods are paid for with cash.
✓ They offer a variety of goods to customers.
✓ Customers can use their credit cards and debit cards for payment.

Disadvantages of mail order shops

✓ The retailer faces the high costs of advertising, packaging, postage and commission paid to agents.
✓ They are not personally in touch with their customers.
✓ The goods are usually expensive.

DISCOUNT STORES

✓ a large-scale retail outlet found in and private sector
✓ locate in busy shopping areas and out of city centres
✓ sells household goods such as electrical appliances
✓ operates from cheap premises
✓ buys goods in bulk at low prices
✓ sells goods at low prices
✓ sells goods on a cash and carry basis

VOLUNTARY-CHAIN STORES

✓ Independent retailers may join together to form a voluntary group. e.g. Spar
✓ group buys in bulk from manufacturers and enjoys large trade discounts
✓ group buys at low prices and sells at low prices
✓ group distributes goods among the group members
✓ group advertises on behalf of all members
✓ group members should comply with the group's minimum standards
✓ members may get loans from the group for renovations and decorations
✓ the groups are common in the grocery trade
✓ members sell a wide range of goods

- ✓ Tied shops
- ✓ they sell products or offer services of only one manufacturer
- ✓ usually use the name of the manufacturer e.g. BP filling stations
- ✓ Have same decorations.

Establishing a retail outlet

When you want to establish a retail outlet, the following factors must be taken into account:

✓ **Capital** - You must have adequate capital to start and operate the business. You should determine how much capital you will need and the possible sources of this capital, as this will determine the size of the retail outlet.

✓ **Site** - Think about the exact location of the retail outlet in relation to suppliers and customers. The site must be accessible to customers and close to sources of supply.

✓ **Labour** - You must consider the number and type of workers to employ and how much you will pay them each week or month.

✓ **Premises** - Consider renting or buying an existing building or constructing your own premises.

✓ **Competition** - Consider what competition there is from other shops. Competition will determine whether your business will get customers or not. Competition takes into account the number of similar outlets already operating in the area. It is always an advantage to place the business in an area with little competition.

✓ **Custom** - This looks at the target market. You must consider their income, age and spending patterns, as this will influence the types of goods you carry and whether to sell on a credit or cash basis.

✓ **Developmental potential**- Consider the future plans of the area in which you are locating your business. Try to locate your business in an area with growth prospects rather than in declining areas.

✓ **Accessibility** - Locate the business in an area that is easily accessible and has a good road network and communication facilities.

✓ **Choice of outlet** - You must also consider the type of retail outlet you want to establish such as whether it is an independent shop, ' supermarket, multiple shop or any other type of business.

✓ **Qualification and experience** – Open a business in a line that you have some knowledge of. You must also evaluate your personal qualities, as they may determine whether you succeed or not.

Trends in Retailing

There are a number of developments that have taken place in the retail trade. The following are some of the latest trends in retailing:

- ✓ branding and pre-packaging
- ✓ self-service and self-selection
- ✓ automatic vending machines
- ✓ do-it-yourself (DIY)products
- ✓ e-commerce and e-tailing
- ✓ shopping malls or centres
- ✓ electronic points of sale (EPOS)
- ✓ barcoding
- ✓ Franchising.

E-COMMERCE OR E-TAILING

✓ It is a system of buying and selling goods and services electronically.
✓ The system operates through a computer connected to the internet or a television which has satellite connections. The products sold should be:
✓ Coded
✓ fully described
✓ in picture form
✓ individually priced
✓ The customer does the shopping in the comfort of his or her home, selects goods using the product codes and places the order electronically.
✓ When making payment the customer provides the following details electronically:
✓ customer's name and address and account number or credit card number
✓ choice of delivery that is COD mail or personal
✓ Date of delivery
✓ terms of payment
✓ Total purchasing price is displayed on the screen for the customer.
✓ Payment can be done through credit cards, Cash on Delivery (COD) or direct debit. Delivery of goods is by mail, courier services, or personal.
✓ The system does not require cash payments. It reduces paperwork for the retailer and travelling expenses for customers. The electronic shop is open for 24 hours.

Advantages of e-commerce

✓ There is a wider market for goods since the
✓ Internet covers the whole world.
✓ Consumers buy goods from the comfort of their own homes and, in doing so, they save time and money they would have used when visiting shops.
✓ Goods are paid for using credit cards or electronic funds transfer, this is convenient for customers.
✓ Goods are delivered to the customer via the post office or a courier service.
✓ E-commerce does not require expensive investments in buildings.
✓ It provides more information about goods to consumers, thereby helping them to compare goods and prices.
✓ There is direct interaction between the buyer and seller.
✓ It provides a 24-hour service to consumers.
✓ The costs of doing business are low.

Disadvantages of e-commerce

✓ Many customers are still suspicious of buying goods through the Internet.
✓ Some customers prefer to buy certain goods directly from shops.
✓ Only a few people own computers that are connected to the Internet.
✓ Most customers are computer illiterate.
✓ There are high costs of packing and postage, therefore goods become expensive.
✓ It is not suitable for the sale of some products, such as fresh fruit, and other perishable items.
✓ leads to impulse buying and overspending
✓ at times the pictures may not show the true quality of the items

- ✓ lacks personal touch

Shopping malls or centres

- ✓ Shopping malls or centres are found in large areas, where all road traffic has been excluded.
- ✓ They are made up of many retail outlets that sell a wide variety of goods.
- ✓ Usually each shop is owned by a different company.
- ✓ Besides retail outlets the shopping centres also provides ancillary services, such as banks.

Electronic points of sale (EPOS)

- ✓ Electronic points of sale are computerised checkout points.
- ✓ They are a combination of a computer, cash till, scanner, card reader and printer.
- ✓ They handle both cash and card transactions.
- ✓ The system uses the scanner to read the bar codes on the package of the item being bought, which is used to find the price of the item.
- ✓ The sale of the item is recorded on the computer.
- ✓ The system prints an itemised receipt of the transaction.

Advantages of EPOS

- ✓ • EPOS enable the speedy processing of sales at check-out points.
- ✓ EPOS reduce the risk of errors.
- ✓ EPOS provides a sales report.

BARCODING

- ✓ A bar code is a set of vertical parallel lines of varying widths and spacing found on most goods and items for sale.
- ✓ The lines represent information relating to the product on which they are found, for example, the type, name and price of the product.

Advantages of barcoding

- ✓ The code can be electronically scanned at the EPOS to provide information about the price of the product.
- ✓ The EPOS can also use the barcode information to record the sale for stock checking and replenishing purposes.
- ✓ Barcodes help track items in an inventory.
- ✓ Barcodes help speed up the buying process.
- ✓ Barcodes may also be used to reduce shoplifting and prevent price-tag swapping.

VENDING MACHINES

- ✓ These are machines, which are installed in buys areas.
- ✓ An example is an ATM (Automated Teller Machine).
- ✓ The machines may be hired or leased. They operate for 24 hours and use the selfservice method of selling which saves on labour and time.
- ✓ May sell a variety of drinks and snacks.
- ✓ Use of machines increases sales and profit.

Advantages of a vending machine

- ✓ • It provides self-service to customers.
- ✓ It provides a 24-hour service to customers.

- ✓ It provides a fast service to consumers.
- ✓ It can be installed anywhere inside or outside a building.
- ✓ It saves on human labour for the trader, since it is self-operating.

Disadvantages of a vending machine

- ✓ It requires regular restocking and replenishing.
- ✓ There is a possibility of breakdowns.
- ✓ It can be vandalised.
- ✓ The service is impersonal and there is nobody to deal with customer complaints.
- ✓ It has a limited choice of goods.

Do it yourself (DIY) Products

- ✓ These are products which are semi-assembled or in kits for example solar kits, wardrobes etc.
- ✓ They are sold with the requisite instructions to assemble them.
- ✓ Consumers need few skills to assemble the parts to make finished products.
- ✓ The products are mainly sold in supermarkets and hardware stores.

Advantages of DIY products

- ✓ DIY products require little skill to join them together.
- ✓ Consumers save on the cost of hi ring someone to join the parts by doing the work themselves.
- ✓ Consumers find satisfaction in completing the products on their own.
- ✓ Some DIY products have helped to improve people's standard of living.
- ✓ DIY products are sold at competitive prices.

With DIY product consumers can:

- ✓ save money by doing work for themselves
- ✓ improve their standard of living
- ✓ gain self-satisfaction by doing their own work
- ✓ Shopping malls
- ✓ are exclusively devoted to shops e.g. Joiner City and East gate
- ✓ They consist of a whole range of shops e.g. chain stores, supermarkets, specialists stores and small shops.
- ✓ Some malls ban traffic from shopping areas a process known as pedestrianisation.

Franchising

A franchise is an agreement in which a retailer (franchiser) gives the right to another trader (franchisee) to use the name of the business and to sell the franchiser’s products in a given geographical area e.g. Chicken Inn

Advantages of Franchising

The franchisee can:

- ✓ enjoy freedom and profit of the business
- ✓ have high chances of success since the business (franchiser) is well known or advertised well
- ✓ enjoy legal protection from the franchiser
- ✓ no need to build his own reputation
- ✓ receive cheap supplies and training of staff from the franchiser

- ✓ save on foreign currency needed to import goods and services as this is often done by the franchiser
- ✓ be assisted by the franchiser in:
  - ➢ raising capital for the business
  - ➢ keeping accounting records
  - ➢ choosing the location of the business
  - ➢ advertising products and services
  - ➢ developing the product

Disadvantages of a franchise

- ✓ The franchisee has to pay the franchiser a share of his profit based on the franchisee's sales
- ✓ High initial charges by the franchiser may be expensive to the franchisee
- ✓ Franchisee has little freedom to determine management procedures
- ✓ Franchisee has to comply with rules and procedures of franchiser

BRANDING

- ✓ is giving a distinguishing name label or mark to the product e.g. Colgate is the name of a certain brand of toothpaste made by Colgate
- ✓ Advantages of Branding
- ✓ products look different and are easy to identify
- ✓ shopping becomes easier
- ✓ facilitates self-service
- ✓ advertising becomes easier
- ✓ easy to order goods by using their brand names
- ✓ consumers are assured of consistent quality
- ✓ manufacturers are assured of brand quality
- ✓ goods look attractive

Advantages of branding

- ✓ Branding makes it easy for the consumer to identify goods.
- ✓ It is simpler to order goods as the buyer can simply quote the name of the product instead of having to describe the product.
- ✓ Branding has enabled the use of self-service as the customer can easily identify the product without assistance.
- ✓ Branding helps customers to distinguish your product from those of competitors.
- ✓ It makes it easy to advertise goods.
- ✓ Customers are assured of consistent quality.

PRE-PACKAGING

Refers to the practice of placing goods into containers by the manufacturers, retailers and wholesalers.

Advantages of pre-packing

- ✓ goods become easier to display
- ✓ Goods are put into attractive containers or wrappers so the goods advertise themselves.
- ✓ Pre-packaged goods can easily be displayed.
- ✓ Pre-packaging makes goods easy to carry.
- ✓ Pre-packaging protects goods from damage.
- ✓ The containers reduce evaporation, spilling, spoilage and soiling of goods.

- ✓ It is easy to identify pre-packaged goods.
- ✓ Pre-packaging enables writing instructions on the packaging, branding and labelling of goods.
- ✓ Containers help to preserve goods and this also extends the shelf-life of products.
- ✓ The empty containers can be used in homes.
- ✓ Pre-packaging saves the time and labour it takes to weigh and pack goods at the time of sale, which helps to make shopping faster.
- ✓ Pre-packaging enables self-service.

SELF-SELECTION

- ✓ is a method of selling goods used in department stores and variety chain stores
- ✓ cash points are dotted throughout the store
- ✓ A customer pays for an item at one cash point and then moves to another part of the shop and select a second item and pay for it at a different point.

SELF-SERVICE

- ✓ It is a method of selling goods which allows the customer to:
- ✓ examine or inspect the goods before buying
- ✓ choose, pick, and select the wanted goods
- ✓ get goods at low prices
- ✓ shop at leisure
- ✓ calculate total purchase price before paying
- ✓ use baskets and trolleys when shopping
- ✓ remember goods not on their shopping lists
- ✓ Goods sold using self-service should be:
- ✓ individually priced
- ✓ well displayed according to use
- ✓ well labelled
- ✓ sold on cash basis
- ✓ paid at check-out points
- ✓ branded and pre-packaged

Advantages of self-service

- ✓ Self-service reduces the cost of labour as it requires fewer assistants.
- ✓ It encourages impulse buying, which results in increased turnover for the trader.
- ✓ It attracts customers who are able to purchase goods at leisure and obtain speedy services.

SEND A BASKET

The service is offered by cash and carry wholesalers with many branches throughout the country

- ✓ used when a sender wants to purchase for someone located in another area
- ✓ the service is provided for the buying of grocery only
- ✓ sender visits the nearest branch and fills in a form
- ✓ sender provides an answer to the test question which the recipient will be asked
- ✓ recipient should be residing near one of the branches
- ✓ sender pays for the goods at the nearest branch
- ✓ sender informs the recipient of the value of the goods to be bought

- ✓ sender discloses the answer to the test question the wholesaler will ask the recipient to the recipient
- ✓ recipient branch is contacted by the sender's branch
- ✓ recipient's branch asks the recipient the test question
- ✓ The recipient's answer must match the one provided by the sender on the form
- ✓ if the answer provided by the recipient is incorrect no purchasing takes place
- ✓ If the answer matches the recipient is afforded the opportunity to buy goods of the value paid for by the sender.

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  - enjoy legal protection from the franchiser
  - no need to build his own reputation
  - receive cheap supplies and training of staff from the franchiser
- ✓ save on foreign currency needed to import goods and services as this is often done by the franchiser
- ✓ be assisted by the franchiser in:
  - raising capital for the business
  - keeping accounting records
  - choosing the location of the business
  - advertising products and services
  - developing the product

Disadvantages of a franchise

- ✓ The franchisee has to pay the franchiser a share of his profit based on the franchisee's sales
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THE SURVIVAL OF SMALL-SCALE RETAILERS

- ✓ The growth of large-scale retailers has seen a decline in the number of wholesalers and small scale retailers.
- ✓ Small retailers have faced intense competition from large retailers who have access to large amounts of capital.
- ✓ Despite the fierce competition, a number of these small retailers have managed to continue to exist. This has been for the following reasons:
- ✓ **They locate their businesses in residential areas -** Consumers continue to buy from them because they are closer and are able to save time and the cost of travelling to where the large retailers are located.

- ✓ **They operate for long hours** - Small retailers have flexible operating hours. They can open their businesses early and close very late, which makes them more convenient compared to large retailers that have fixed operating times. They may even open on public holidays.
- ✓ **They provide variety to customers** – They stock a wide variety of goods, which enables consumers to make all their purchases under one roof.
- ✓ **They allow credit** - Although large retailers also give credit, small retailers give informal credit. They do not have rigid and strict control systems. Their credit system does not involve contract documents and other formalities.
- ✓ **Specialisation** - Small-scale retailers have moved away from products that are supplied by large firms and are specialising in goods and services that cannot be supplied on a large scale, such as barber shops, hair salons and butcheries.
- ✓ **They provide free delivery to customers**- Small-scale retailers provide their own transport to carry goods to customers' premises.
- ✓ **They break bulk** - They sell goods in smaller quantities, which suits the customer's needs.
- ✓ **They cater for individual tastes** - They can place orders for individual consumers from wholesalers.
- ✓ **They provide personal service** - Small-scale retailers provide the customer with personal service in the form of staff who can advise the customer on products as well as being attentive and helpful to the customers' needs.
- ✓ **They join voluntary chains** - Small-scale retailers may join voluntary chains where they can buy goods in bulk. This enables them to obtain goods at low prices, which means they can offer competitive prices to the customer.
- ✓ **They have low overhead expenses** – They locate their businesses in areas where rentals are low and they use family labour, which helps to reduce their operating costs.

Hire Purchase and Deferred Payments

Hire purchase is a method of buying consumer durable goods, such as motor cars, furniture, stoves or television sets. The buyer pays a deposit and completes the purchase by regularly paying a number of monthly instalments until the item has been fully paid for. Once all the instalments have been paid, the item belongs to the buyer. The seller has ownership of the goods until the final payment is made, but the buyer can take possession of the goods on payment of the deposit. Hire purchase can be seen as the buyer hiring an item with an option to buy it.

FEATURES OF HIRE PURCHASE

The following are features of hire purchase:

- ✓ A written contract (agreement) is required.
- ✓ A deposit is paid, followed by regular instalments.
- ✓ The deposit amount is legislated.
- ✓ A 'cooling-off' period is required if the agreement is signed outside the trader's premises.
- ✓ Hire purchase is suitable for buying consumer durable goods or goods with a secondhand value, such as cars. This method of buying is controlled by the Hire Purchase Act.
- ✓ The buyer can cancel the agreement and return the goods when at least half the purchase price has been paid.
- ✓ A court order is needed by the seller to repossess the goods if the buyer has paid at least one-third of the purchase price.
- ✓ The seller can repossess the goods if the buyer defaults on payments.
- ✓ The buyer takes possession of the goods on payment of a deposit.

- ✓ The buyer becomes the owner of the goods on payment of the last instalment.
- ✓ The buyer cannot sell the goods during the hire purchase period.
- ✓ It involves a long period of payment.
- ✓ Finance charges are added to the cash purchase price.
- ✓ The purchase is financed by a finance company.

DETAILS ON HIRE PURCHASE GOODS

- ✓ The following details must be recorded when items
- ✓ are bought on hire purchase:
- ➢ a description of the goods
- ➢ the cash price of the goods
- ➢ the total hire purchase price, for example, the
- ➢ cash price plus the finance charges
- ➢ the deposit amount
- ➢ the number of instalments
- ➢ the amount that must be paid at each instalment
- ➢ The finance charges, such as insurance and interest.

Advantages of hire purchase to the seller

- ✓ Hire purchase encourages impulse buying, thus it increases sales and profits.
- ✓ The seller receives commission from the finance company.
- ✓ The goods are insured during the hire purchase period.
- ✓ The seller has the right to repossess the goods if the buyer defaults before paying onethird of the purchase price.
- ✓ Increases sales and thus profits.
- ✓ Insurers good during the Hire Purchase period.

Advantages of hire purchase to the buyer

- ✓ There is no need for the buyer to raise the full purchase amount at once.
- ✓ The buyer can use the goods while paying for them.
- ✓ The profits generated from using the good(s) e.g. Welding machine during this period be used to pay the goods' instalments.
- ✓ Allows people to buy expensive items.
- ✓ Goods are under guarantee during the Hire Purchase period.
- ✓ Customers can enjoy higher standards of living.
- ✓ Enjoys legal protection during the Hire Purchase period.

Disadvantages of hire purchase to the buyer

- ✓ May encourage customers to overspend and buy on impulse.
- ✓ Goods are more expensive when compared to cash buying due to additional Finance charges such as insurance and interest that have to be paid.
- ✓ The seller may repossess the goods if the buyer fails to pay instalments.
- ✓ In the event of repossession the customer is not compensated.
- ✓ The goods cannot be used as collateral during this period.
- ✓ The customer does not own the goods during Hire Purchase period.
- ✓ The buyer possesses the goods 'without owning them.

Disadvantages of hire purchase to the seller

- ✓ Capital is tied up in the form of debts.
- ✓ Repossessed goods may not be fit for resale.

- ✓ Increases the risk of bad debts.
- ✓ Increased clerical work is required to administer Hire Purchase sales.
- ✓ Bad publicity can ensue from suing defaulters.

CREDIT SALES AGREEMENT (OR DEFERRED PAYMENTS)

- ✓ A credit sales agreement is a credit contract in
- ✓ which a customer agrees to purchase consumer
- ✓ Non-durable goods and pays for them at a later date, usually in regular (monthly) instalments over a short period of time.

Features of deferred payments

- ✓ A deferred payment is a contract of sale based on trust.
- ✓ A written agreement is not necessary; a verbal agreement is acceptable.
- ✓ A deposit is not required.
- ✓ The buyer owns and uses the goods as soon as the agreement is made.
- ✓ The seller cannot repossess the goods if the buyer defaults.
- ✓ The seller can sue the customer for the outstanding amount.
- ✓ The instalments are spread over a few months.
- ✓ There is a short period of repayment.
- ✓ The customer can sell the goods.
- ✓ This type of agreement is ideal for non-durable goods, such as clothes, groceries or carpets.
- ✓ Interest is charged at a low rate.
- ✓ It is financed by the trader.

INFORMAL CREDIT

✓ Informal credit involves an agreement in which a buyer buys goods on account and pays the seller in regular instalments at a later date. It is only limited to customers who buy from retailers, but agreements can exist between retailers and their wholesalers.

Features of informal credit

- ✓ • It enables a trader to purchase equipment and machinery, a wide range of consumer durables, such as motor cars and electrical goods, as well as consumer non-durable goods, such as clothes.
- ✓ It can be a revolving credit.
- ✓ The contract can be in the form of a verbal agreement or a written contract (agreement).

Advantages of informal credit

- ✓ It is a source of short-term financing for most retailers.
- ✓ No collateral is required to access trade credit financing.
- ✓ Instalment payments are spread over a short period of time.
- ✓ It allows the retailer (buyer) to sell the goods and use the net proceeds to pay back the debt.
- ✓ The retailer has more time to pay the wholesaler with little interest added on.
- ✓ It eases the retailer's cash flow.
- ✓ It increases the wholesaler's turnover (sales) and profits.

Disadvantages of informal credit

- ✓ It prevents the retailer from enjoying the benefits of cash discounts.
- ✓ Extra costs are incurred when there is a decrease in the demand for goods.
- ✓ The wholesaler's capital is tied up in book debts.

- ✓ The wholesaler may incur bad debts or losses as a result of non-payment by retailers.
- ✓ High interest rates make informal credit a relatively expensive way to obtain credit.
- ✓ There is much paperwork for the wholesaler, for example, printing statements and sending reminders.

CREDIT CARD

- ✓ A credit card is a thin plastic card that contains identifying information about a preapproved line of unsecured credit that a cardholder has established with a bank or other financial nstitution.
- ✓ A credit card is a facility that allows a cardholder to buy goods or services on credit up to a certain credit limit.
- ✓ This amount is paid off or settled by a due date that is specified on a monthly statement and which is sent by the issuing bank to the cardholder.

Structure of a transaction

- ✓ This is how a credit card transaction works:
- ✓ A credit card is swiped through a machine that reads the information from a magnetic strip at the back of the card.
- ✓ The amount of the purchase is then typed into the machine key pad.
- ✓ The machine (computer) contacts the bank that issued the card to verify that the account exists or that the card being used has not been reported stolen.
- ✓ The transaction ends with the customer signing the credit slip.

FEATURES OF A CREDIT CARD

- ✓ A credit card has the following information on it:
- ✓ the name of the issuing bank
- ✓ the name of the card holder
- ✓ the signature of the card holder
- ✓ the account number of the account holder
- ✓ Some cards may have a CSV number, which is a security code.
- ✓ Credit cards come with:
    - ➢ a credit limit, which is the maximum amount a card holder is allowed to purchase for
    - ➢ The terms and conditions of using the card.

Advantages of a credit card

- ✓ It is an instrument of payment that eliminates the need to carry cash.
- ✓ It uses a personal identification number (PIN) for security.
- ✓ It allows the card holder to pay for goods by borrowing against the line of credit with the bank.
- ✓ The issuing bank guarantees immediate payment to retailers on any approved transactions. It improves cash flow for retailers, who are paid immediately.
- ✓ Goods are given immediately to the customer as soon as the payment is made.
- ✓ For retailers, accepting credit cards is less risky than accepting cheques from customers whose creditworthiness is not known.
- ✓ Customers can shop in the comfort of their homes or office by ordering goods by cell phone, telephone, e-mail or over the Internet and then providing their credit card details.
- ✓ Customers can withdraw cash from an automated teller machine (ATM) using a credit card.
- ✓ Customers receive monthly statements of account showing all transactions made.

- ✓ It allows customers a period of credit before having to pay the amount owing at the end of the month.
- ✓ Credit cards are protected by legislation or law.

Disadvantages of a credit card

- ✓ Using credit cards can lead to over-spending because they are so easy to use.
- ✓ High interest rates and other banking costs make credit cards a relatively expensive method of obtaining credit or securing consumer loans.
- ✓ The card holder may have to pay a fee to replace a lost or stolen credit card.
- ✓ The use of more than one credit card may get the cardholder into further debt.
- ✓ Fraudulent or unauthorised charges may take time to dispute, investigate and resolve.
- ✓ Money is tied up in book debts for the issuing bank.
- ✓ Bad debts or non-payment by cardholders can occur, due to people becoming insolvent or having lost their jobs.

FINANCE HOUSES AND HIRE PURCHASE

- ✓ Finance houses play an important role in hire purchase transactions as follows:
- ✓ The finance houses enable customers to buy consumer durable goods on credit.
- ✓ The finance houses pay cash to the traders after goods have been bought on hire purchase. Thus they provide capital to the retailers (traders).
- ✓ The buyer owes money to the finance house.
- ✓ The monthly instalments are collected by the retailer for the finance company.
- ✓ The trader does not suffer from bad debts, since the risk is taken by the finance company.
- ✓ The finance house makes a profit from the interest charged to debtors.

Discounts

- ✓ A discount is an allowance or deduction on the selling price of a product. It is a sum of money deducted from the original price of a product given to a trader or customer to encourage repeat purchases or prompt payment. There are two types of discounts:
  - ➢ Trade discount
  - ➢ Cash discount.

TRADE DISCOUNT

- ✓ a gross deduction from the gross invoice or catalogue price
- ✓ given by one trader to another
- ✓ varies with the quantity and type of goods purchased and is deducted at the point of sale
- ✓ usually the rate is high
- ✓ not recorded in the books of accounts
- ✓ encourages customers to buy from a particular source

CASH DISCOUNT

- ✓ an allowance from the net invoice price given to any customer who pays promptly
- ✓ deducted when the payment is made
- ✓ rate is usually lower than that of Trade discount
- ✓ encourages early payment of debts
- ✓ may increase the rate of stock turn

- ✓ helps reduce the trader’s bad debts
- ✓ saves clerical work due to early payment
- ✓ recorded in the books of accounts

Importance of cash discount

These are some of the reasons cash discounts are given to customers:

✓ Cash discounts for payment within a certain time encourages customers to buy goods for cash or pay debts early.

✓ It saves on the clerical work of chasing debts as it eliminates the costs and time of sending reminders, letters of demand and debt follow-ups.

✓ It reduces the risk of bad debts.

✓ It improves the cash flow of the trader as it aims to speed up the payment of debts that result in cash inflows.

✓ Trader avoid the need to borrow cash for working capital requirements.

✓ It increases the trader's rate of stock turnover as the discount lowers the prices of goods and services resulting in higher sales for the trader.

✓ It helps get rid of excess stock.

On 15 March 2016, Raphael's Auto Spares bought goods worth $2000 on credit under the following terms:

Trade discount 25%, Cash discount 5% / 30 days, 2% / 60 days

On 10 April 2016 the account was settled in full.

Calculate the following:

1. The trade discount
2. The cash discount
3. The amount paid by Raphael's Auto Spares

Solution
1. Calculate the trade discount.
Gross invoice price = $2 000
Percentage trade discount = 25%
= 25/100 x $2000
= $500
2. Calculate the cash discount.
Gross invoice price less trade discount: $2 000 - $500 = $1 500
The cash discount:
= 5/100 x $1 500
= $75
3. Calculate amount paid by Raphael's Auto Spares.
Amount paid = gross invoice - trade discount + cash discount
= $2000 - ($500 + $75)
= $1425

Documents used in Home Trade

In any business transaction, a series of documents pass between the buyer and the seller. A source document is a record and proof of a transaction having occurred and can be used as evidence in any dispute between a buyer and a seller.

Letter of inquiry
- ✓ It is a letter written by a buyer/potential buyer to a supplier or to several suppliers.
- ✓ It shows the names and addresses of both the buyer and the seller.
- ✓ It has and shows a date of issue.
- ✓ In which the buyer/potential buyer requests the following information about goods/services from the supplier:
- ✓ The types/range of goods available for sale.
- ✓ The size of the goods/ services.
- ✓ The prices of the goods/services.
- ✓ The terms of payment and availability of credit and if any discounts are available.
- ✓ The terms of delivery for the goods including the dates and delivery cost.

Inquiry Letter

Sender Name
Sender's Title or Position
Sender's Organization Name
Sender Street Address
City, State, Zip Code

Date: DD/MM/YYYY

Recipient's Name
Recipient's Position or Title
Recipient's Organization Name
Recipient's Street Address
City, State, Zip Code

Dear (Name of the Hiring Manager)

I am ______________________ with qualifications in (Field Name) for ____________ Years experience in the __________________________ industry.

I love the work your company does and feel that my experiences and skills can be an asset for your organization so I am inquiring from your for a job of this position ______________________ in your organization. I am currently employed at ____ as __________________________________(Position Title).

Looking forward to discuss with your about job opportunity further and if I may be considered to contribute to success of your organization _____________________________________ (organization name).

Sincerely,

____
Signatures

Quotation

- ✓ Is sent in reply to a letter of inquiry.
- ✓ It is sent by a seller to a buyer
- ✓ It is also send to a potential buyer by a seller.
- ✓ It enables a buyer to compare prices from several suppliers.
- ✓ It enables a buyer to choose a supplier with the most favourable terms.
- ✓ It can be used to prepare a standard catalogue or a price list.
- ✓ It shows the following:
    - ➢ The date of issue.
    - ➢ A full description of goods/services.
    - ➢ The prices of the goods/services.

- ➢ Terms of payment including any applicable discounts.
- ➢ Terms of delivery.
- ➢ The names and addresses of both the buyer and the seller.

✓ The terms or period over which the quotation will be valid. (This would have been very important during the hyperinflationary environment days in Zimbabwe when prices changed on a regular basis.)

XinCube Inc

Quotation

Quotation No	QUO09080004
Date	13-Aug-2009
Terms	COD
Shipping Date	13-Aug-2009
Shipping Terms	
Sales Person	Charles Wooten
Order No	

xin Cube

380 Francisco St
San Francisco
CA 94133 US
Tel: (415) 989-1188 Fax: (415) 989-2288
Email: admin@xincube.com
Website: www.xincube.com

Bill To
John Michaels
Ubertech Corp
1055 Corporate Center Dr. Ste 102
Monterey Park
CA 91754 US

Ship To
John Michaels
Ubertech Corp
1055 Corporate Center Dr. Ste 102
Monterey Park
CA 91754 US

Qty	SKU / Description	Unit Price (USD)	Amount (USD)
4.00	AMD Athlon X2DC-7450, 2.4GHz/1GB/160GB/SMP-DVD/VB	5,000.00	20,000.00
1.00	LG 18.5" WLCD	230.00	230.00
1.00	HP LaserJet 5200	1,103.00	1,103.00

Sub Total (USD)	Discount (USD)	Shipping (USD)	Total (USD)
21,333.00	0.00	0.00	23,001.98
Sales Tax (USD)			Deposit (USD)
1,668.98			0.00
			Amount Due (USD)
			23,001.98

All Payments must be made only in the form of a crossed cheque or cash payable to Xin Cube Inc

Page 1 of 1

Price List

- ✓ Is sent in response to a letter of inquiry.
- ✓ It is sent by the seller to a buyer.
- ✓ It is also sent out to potential/regular buyers.
- ✓ It is suitable for most advertised (popular) brands.
- ✓ It shows the terms of payment.
- ✓ It is given out subject to price fluctuations.
- ✓ The information shown thereon is very brief.
- ✓ It shows the following:
    - ➢ A list of goods sold by the wholesaler/supplier.
    - ➢ The unit price of each item.

	ITEMS	PRICE (excl. GST)	PRICE (incl. GST)
Packages	Driving Range Package	$6,995.00	$7,694.50
	Practice Fairway Package	$6,895.00	$7,584.50
	Home Package	$6,355.00	$6,990.50
Individual Items	varietee™ Platform	$6,250.00	$6,875.00
	Ball Table	$200.00	$220.00
	Range Bay Divider	$375.00	$412.50
	Octagonal Practice Mat	$590.00	$649.00
	Range Ball Tray	$55.00	$60.50
	varietee™ MixRubber Tees (10)	$20.00	$22.00
	Booking/Safety System Folder	$200.00	$220.00
	Instructional/Promotional Flyers (250)	$70.00	$77.00
	Replacement Keys (4)	$60.00	$66.00
	Replacement Lock Set with 4 keys.	$120.00	$132.00
	Replacement Mat Bolt-down Key	$30.00	$33.00
2nd varietee™ Platform**		$5,750.00	$6,325.00
3rd and Subsequent varietee™ Platforms**		$5,625.00	$6,187.50

Catalogue

- ✓ It is a colourful pamphlet which carries illustrations of the commodity available for sale by the supplier.
- ✓ It shows the prices of various goods/services on sale.
- ✓ States the terms of sale and any available after sales services.
- ✓ It is used as an advertising medium.
- ✓ It is usually accompanied by order forms.
- ✓ It shows the various codes (used in ordering and stock-keeping by the supplier) of the various goods and services on offer.
- ✓ N.B With the rise in e-commerce and the continued adoption of computers sometimes these documents are available in electronic format especially the universally accepted PDF document format.

Order Note

- ✓ Is written by a buyer to the supplier.
- ✓ It shows the names and addresses of the buyer and seller.
- ✓ It states the expected time of delivery and method of payment.
- ✓ Might quote the catalogue number or quotation number if any.
- ✓ It shows the quoted prices.
- ✓ At the barest minimum it is made in duplicate (i.e. there are at least two copies).
- ✓ The buyer states the description of goods/services they desire to buy in the including:
- ✓ The desired quantity.
- ✓ The desired size.
- ✓ The desired name/ types/ models of goods.
- ✓ The colour of goods
- ✓ The quality of goods desired.

Xin Cube Inc
380 Francisco St
San Francisco
CA 94133
US
Phone: (415) 989-1188 Fax: (415) 989-2288
Email: admin@xincube.com
Website: www.xincube.com

Purchase Order
Code: PO12.03.0005
Date: 21-Mar-2012
Reg No: 74-2999212

To: **Jabba**
Green Computing
Summit Place Shopping Center Unit #288
Silverthorne, CO 80498
US

Phone: 970-468-5556 Fax: 970-468-5557
Tax No:

Shipping Date	Shipping Terms	Payment Terms	Currency Code
21-Mar-2012	CIF	60 Days	USD

No.	Quantity	Item Code	Description	Unit Price	Discount	Amount
1	100.00 PCS	INV00005	1900mAh Slim Battery Charging Case for iPhone4/4S	15.00	0.00	1,500.00
2	200.00 PCS	INV00006	2400mAh Solar Powered Rechargeable Battery Pack for iPhone or iPod	12.00	0.00	2,400.00
3	200.00 PCS	INV00002	APPLE IPAD CASING - BLACK	20.00	0.00	4,000.00
4	200.00 PCS	INV00003	SAMSUNG GALAXY TAB 10.1" CASING - BLACK	10.00	0.00	2,000.00
5	200.00 PCS	INV00001	APPLE IPAD CASING - WHITE	20.00	0.00	4,000.00

Sub Total	Discount	Shipping	Total
13900.0000	0.0000	0.0000	14595.0000
VAT			
695.0000	0.0000	0.0000	

Note:

1. Please send two copies of your invoice.
2. Enter this order in accordance with the prices, terms, delivery method, and specifications listed above.
3. Please notify us immediately if you are unable to ship as specified.
4. Late delivery will be subject to cancellation.

Prepared By, Approved By,

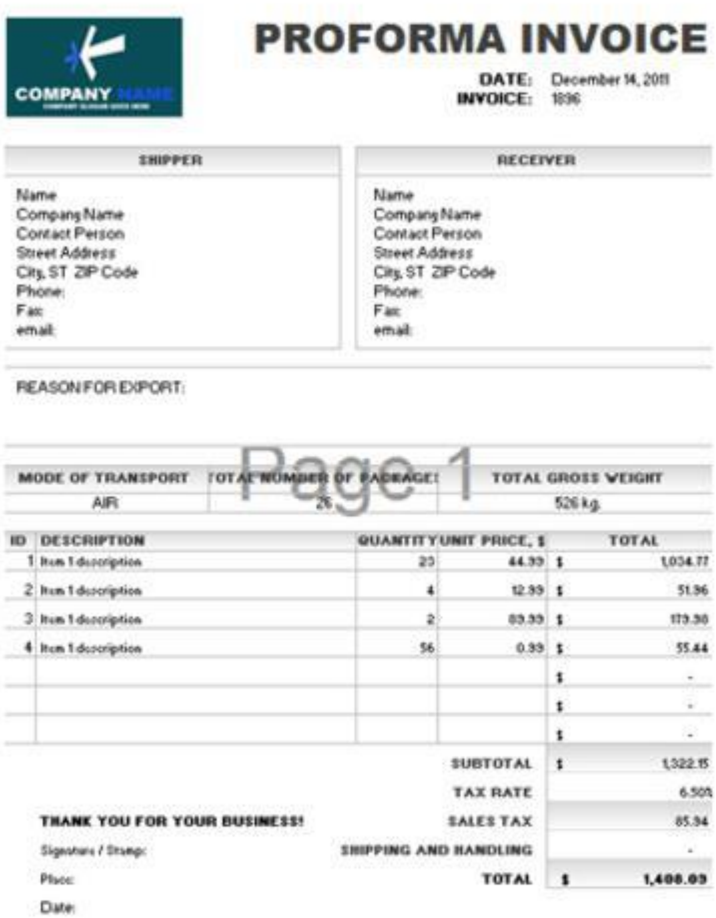
Page : 1 / 1

Invoices

- ✓ There are two main types of invoices:
- ✓ A Proforma invoice and,
- ✓ Ordinary invoices.

Proforma invoice

- ✓ Is a document in the form of an invoice
- ✓ Is sent by a supplier to a potential buyer.
- ✓ It may be used as a quotation.
- ✓ It shows terms of payment.
- ✓ It show quantities of goods/services.
- ✓ Is used when goods are send on approval.
- ✓ It shows:
  - ➢ unit prices,
  - ➢ total prices
  - ➢ Applicable discounts.
- ✓ It is used to apply for foreign currency. (This no longer the case in Zimbabwe ever since the country adopted a multi-currency regime.)
- ✓ It is used to request for payment before the goods are delivered or services are rendered.



PROFORMA INVOICE

COMPANY NAME

DATE: December 14, 2011
INVOICE: 1896

SHIPPER	RECEIVER
Name Company Name Contact Person Street Address City, ST ZIP Code Phone: Fax: email:	Name Company Name Contact Person Street Address City, ST ZIP Code Phone: Fax: email:

REASON FOR EXPORT:

Page 1

MODE OF TRANSPORT	TOTAL NUMBER OF PACKAGES	TOTAL GROSS WEIGHT
AIR	26	526 kg.

ID	DESCRIPTION	QUANTITY	UNIT PRICE, $	TOTAL
1	Item 1 description	23	44.99	$ 1,034.77
2	Item 1 description	4	12.99	$ 51.96
3	Item 1 description	2	89.99	$ 179.98
4	Item 1 description	56	0.99	$ 55.44
				$ -
				$ -
				$ -
			SUBTOTAL	$ 1,322.15
			TAX RATE	6.50%
			SALES TAX	85.94
			SHIPPING AND HANDLING	-
			TOTAL	$ 1,408.09

THANK YOU FOR YOUR BUSINESS!

Signature / Stamp:

Place:

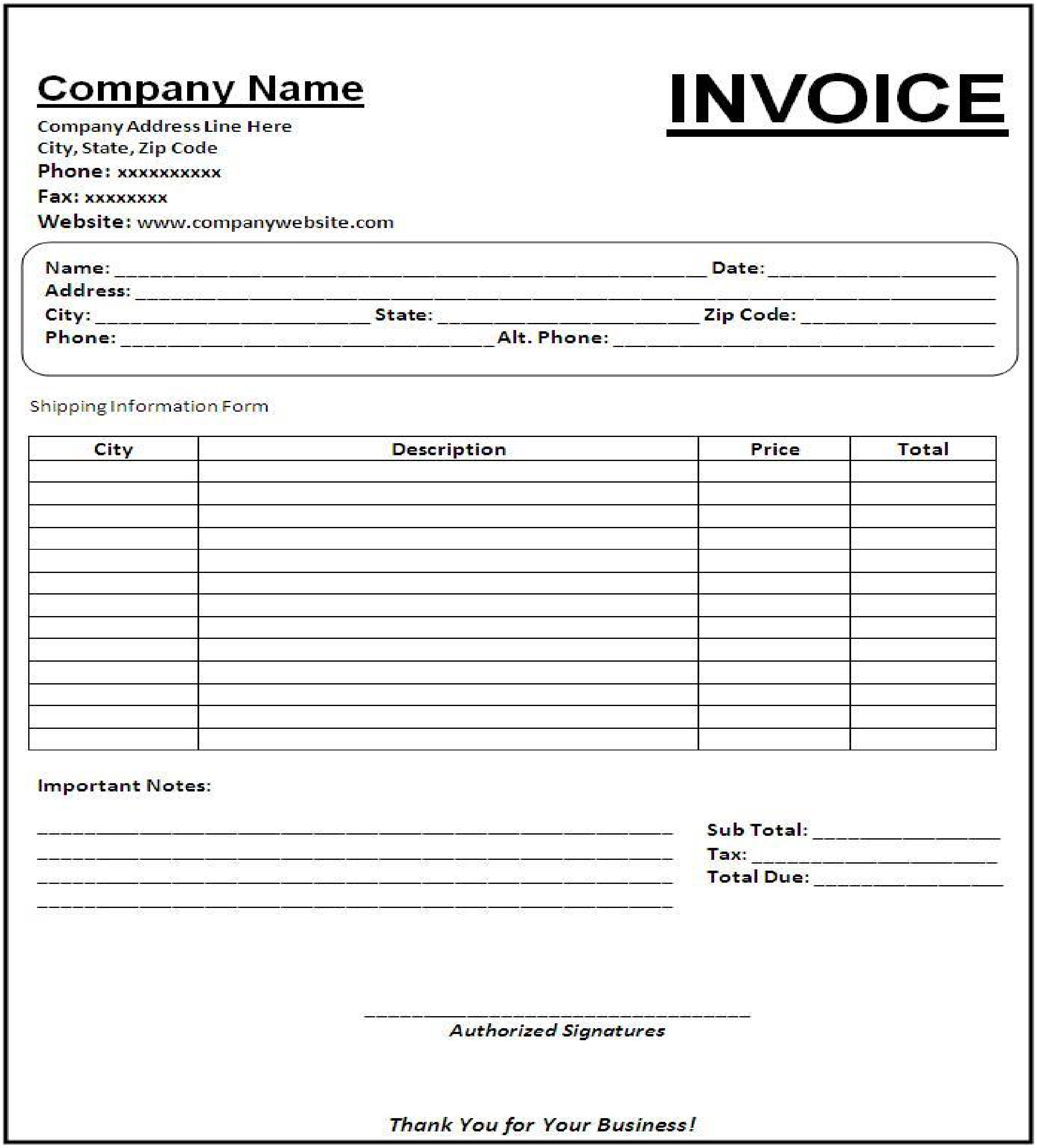
Date:

Invoice

- ✓ It is a bill sent by a supplier of goods/services to a buyer.
- ✓ It summarises a single transaction.
- ✓ Is used as evidence of a contract of sale.
- ✓ It shows the details of the goods/services including:
- ✓ The unit prices of each good or service.
- ✓ The total prices for each category of goods/services.
- ✓ The quantities of goods/services supplied.
- ✓ The terms of payment including any applicable discounts.
- ✓ The description of goods/services for example the colour and size.
- ✓ The date on which the purchase was made.
- ✓ Any applicable Value Added Tax (VAT)
- ✓ The invoice number.
- ✓ Interest if any to be added on if a specific time passes.
- ✓ The names and addresses of the supplier and the buyer.
- ✓ Invoices are used for accounting purposes as an original source document when recording accounting transactions in the books of businesses.

✓ Sometimes includes the words ” Errors and Omissions Excepted) E&OE

✓ N.B. The last phrase is used to counter the possibility that mistakes might have been made in the invoice/ any other document and that although the information, to the supplier’s best knowledge, is accurate the supplier will not be held accountable for any errors and omissions that might be in the document.



Company Name

Company Address Line Here
City, State, Zip Code
Phone: xxxxxxxxxx
Fax: xxxxxxxx
Website: www.companywebsite.com

INVOICE

Name: ______________________ **Date:** ____________
Address: ______________________________________
City: ____________ **State:** ____________ **Zip Code:** ____________
Phone: ______________ **Alt. Phone:** ______________

Shipping Information Form

City	Description	Price	Total

Important Notes:

____
____
____
____

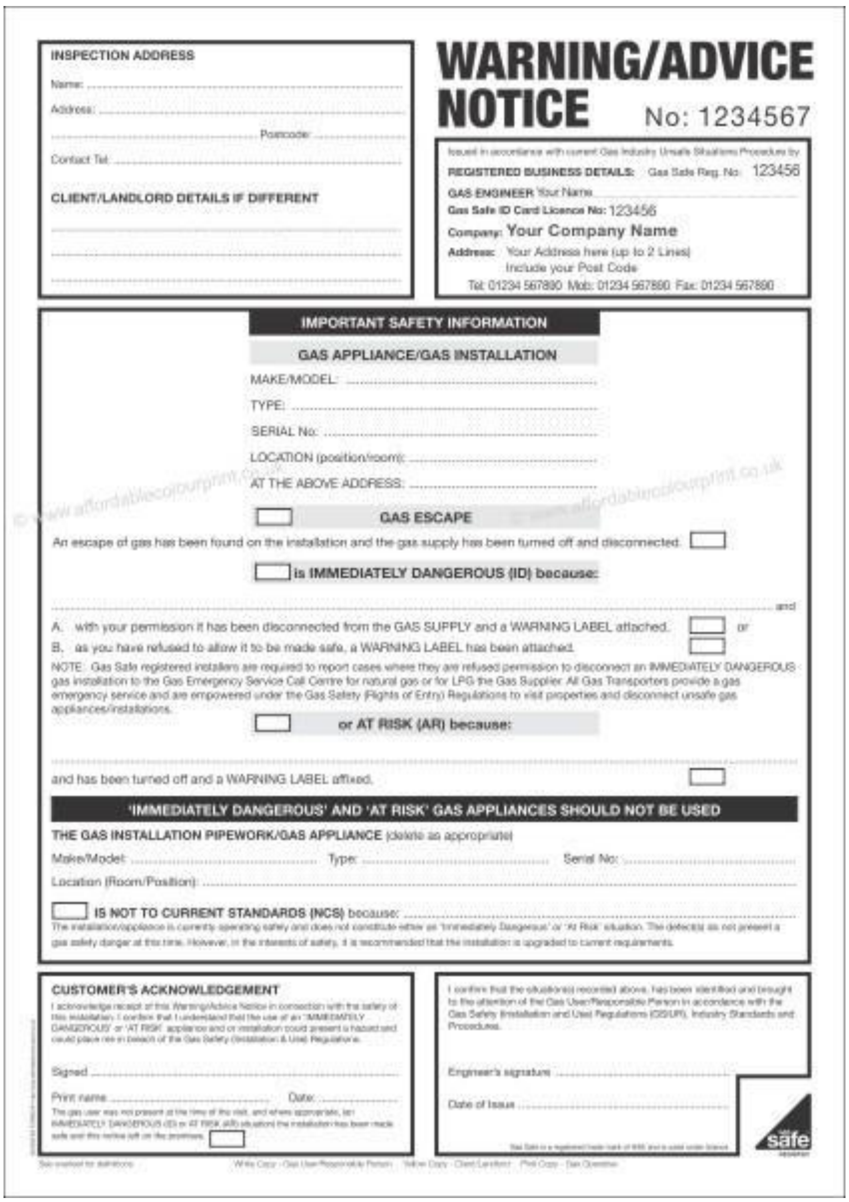
Sub Total: ____________
Tax: ____________
Total Due: ____________

____
Authorized Signatures

Thank You for Your Business!

Advice Note

- ✓ Is sent by a supplier to a buyer.
- ✓ It notifies the buyer that goods he/she ordered are now on the way.
- ✓ It helps the customer to make arrangements to receive the goods.
- ✓ It gives the buyer to prepare storage space for the goods.
- ✓ It enables the customer to recheck if the goods match his/her order.
- ✓ An advice note shows the following information:
- ✓ The date on which the goods were dispatched.
- ✓ The method of dispatch.
- ✓ The terms of the dispatch.
- ✓ The Descriptions of the goods.
- ✓ The names and addresses of both the supplier and the buyer.



INSPECTION ADDRESS

Name:

Address:

Postcode:

Contact Tel:

CLIENT/LANDLORD DETAILS IF DIFFERENT

WARNING/ADVICE NOTICE No: 1234567

REGISTERED BUSINESS DETAILS: Gas Safe Reg. No: 123456

GAS ENGINEER Your Name

Gas Safe ID Card Licence No: 123456

Company: Your Company Name

Address: Your Address here (up to 2 Lines) Include your Post Code

Tel: 01234 567890 Mob: 01234 567890 Fax: 01234 567890

IMPORTANT SAFETY INFORMATION

GAS APPLIANCE/GAS INSTALLATION

MAKE/MODEL:

TYPE:

SERIAL No:

LOCATION (position/room):

AT THE ABOVE ADDRESS:

GAS ESCAPE

An escape of gas has been found on the installation and the gas supply has been turned off and disconnected.

is IMMEDIATELY DANGEROUS (ID) because:

and

A. with your permission it has been disconnected from the GAS SUPPLY and a WARNING LABEL attached. or

B. as you have refused to allow it to be made safe, a WARNING LABEL has been attached.

NOTE: Gas Safe registered installers are required to report cases where they are refused permission to disconnect an IMMEDIATELY DANGEROUS gas installation to the Gas Emergency Service Call Centre for natural gas or for LPG the Gas Supplier. All Gas Transporters provide a gas emergency service and are empowered under the Gas Safety (Rights of Entry) Regulations to visit properties and disconnect unsafe gas appliances/installations.

or AT RISK (AR) because:

and has been turned off and a WARNING LABEL affixed.

'IMMEDIATELY DANGEROUS' AND 'AT RISK' GAS APPLIANCES SHOULD NOT BE USED

THE GAS INSTALLATION PIPEWORK/GAS APPLIANCE (delete as appropriate)

Make/Model: Type: Serial No:

Location (Room/Position):

IS NOT TO CURRENT STANDARDS (NCS) because:

CUSTOMER'S ACKNOWLEDGEMENT

Signed

Print name Date:

Engineer's signature

Date of Issue

Delivery Note

✓ Is issued by a supplier to the buyer.
✓ It is written in duplicate
✓ It is used when the seller uses their own transport to deliver goods.
✓ It is sent with the goods.
✓ It is sued to check and record the state and quantity of goods on arrival.
✓ Provides proof of delivery if it is signed.
✓ The document shows:
  - The names and addresses of the supplier and the buyer.
  - It has a description of the goods.
  - The quantity of goods.
  - The date of dispatch.
  - The method of delivery.
  - The customer's signature proving delivery.

Feature Furniture Supplies

Feature Furniture Supplies, Unit 17A, East Business Park, Edinburgh, EH12 5RS, United Kingdom Email: sales@featurefurniture.co.uk
Tel: +44 (0)141 281281 Fax: +44 (0)141 281282 VAT Reg.No.: GB123123 Company Reg. No.: 999999

Home Styles
Unit 192A Birmingham Ind. Est.
Birmingham
United Kingdom

DELIVERY NOTE
DN000002

Order No. SO000002
Customers's Order No. SO000002
Account No. 0001
Despatch Date 1 November 2007

INVOICE ADDRESS :
Home Styles
Unit 192A Birmingham Ind. Est.
Birmingham
United Kingdom

Line	Quantity	UOM	Part Number / Description / Specification		Location	Net Mass (Kg)
1	10	1	00002	Sofa Bed	A	10,000.00
2	8	1	00003	3 Piece Suite	A	8,000.00
3	45	1	00004	Wardrobe	A	45,000.00
4	75	1	00009	Nest Of Tables	A	75,000.00
5	30	1	00006	Bedside Table	A	30,000.00

Comments :

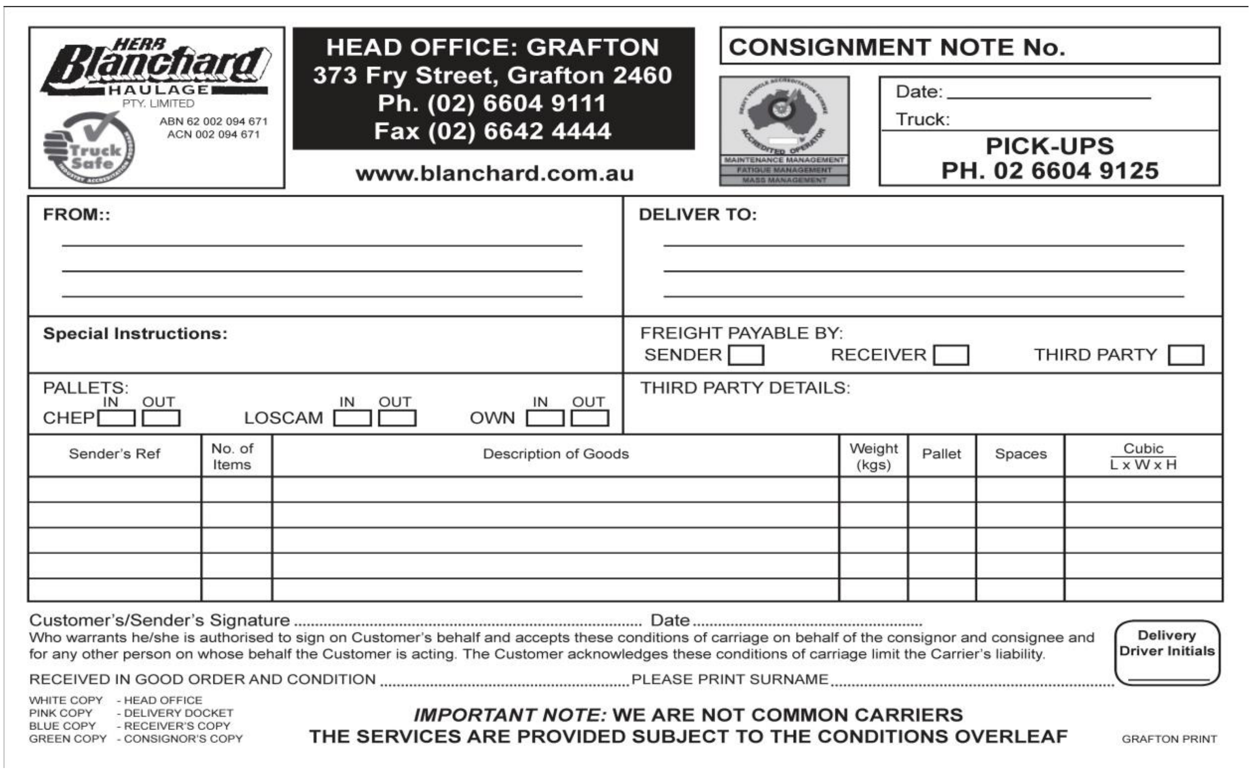
Total Net Mass (Kg) 168,000.00

Page 1 of 1

Consignment Note

✓ It is used when transport is hired.
✓ It is issued by a transport provider of carrier such as Swift or Pioneer Africa or NRZ (if goods are transported by rail).
✓ It is issued in triplicate (i.e. there are at least 3 copies).
✓ It is sent together with the goods.

- ✓ It is a contract of carriage.
- ✓ It state the terms and conditions of carriage e.g. the insurance and liability terms.
- ✓ It specifies the party responsible for payment of carriage or possible damage.
- ✓ It is signed as proof of delivery.
- ✓ The sender is known as the consignor and the recipient is known as the consignee.
- ✓ It shows on it:
  - ➢ The description of the goods.
  - ➢ The quantities of the goods.
  - ➢ The markings or crate numbers.
  - ➢ The relevant freight charges.
  - ➢ The names and addresses of the consignor and the consignee.
  - ➢ The address to which to deliver the goods.
  - ➢ The date of delivery.


HERB Blanchard HAULAGE PTY. LIMITED
ABN 62 002 094 671
ACN 002 094 671

HEAD OFFICE: GRAFTON
373 Fry Street, Grafton 2460
Ph. (02) 6604 9111
Fax (02) 6642 4444
www.blanchard.com.au

CONSIGNMENT NOTE No.

Date:
Truck:
PICK-UPS
PH. 02 6604 9125

FROM::

DELIVER TO:

Special Instructions:

FREIGHT PAYABLE BY:
SENDER RECEIVER THIRD PARTY

PALLETS:
CHEP IN OUT LOSCAM IN OUT OWN IN OUT

THIRD PARTY DETAILS:

Sender's Ref	No. of Items	Description of Goods	Weight (kgs)	Pallet	Spaces	Cubic L x W x H

Customer's/Sender's Signature .... Date ....
Who warrants he/she is authorised to sign on Customer's behalf and accepts these conditions of carriage on behalf of the consignor and consignee and for any other person on whose behalf the Customer is acting. The Customer acknowledges these conditions of carriage limit the Carrier's liability.

Delivery Driver Initials

RECEIVED IN GOOD ORDER AND CONDITION .... PLEASE PRINT SURNAME ....

WHITE COPY - HEAD OFFICE
PINK COPY - DELIVERY DOCKET
BLUE COPY - RECEIVER'S COPY
GREEN COPY - CONSIGNOR'S COPY

IMPORTANT NOTE: WE ARE NOT COMMON CARRIERS
THE SERVICES ARE PROVIDED SUBJECT TO THE CONDITIONS OVERLEAF

GRAFTON PRINT

Credit Note

- ✓ I issued by a supplier to a buyer.
- ✓ It is usually printed in red or pink.
- ✓ It is used when a supplier owes the buyer money.
- ✓ It shows the flow of money in the opposite direction i.e. from the supplier to the buyer.
- ✓ It allows the buyer to use a gift card.
- ✓ It shows:
  - ➢ The names and addresses of the buyer and seller.
  - ➢ The credit note number.
  - ➢ The overcharged amount if any.
  - ➢ The reduction of the amount owing.

➢ The date on which the note was issued.

✓ It is used to correct an overcharge arising from:

➢ Return of empty bottles e.g. a seller of soft drinks that are packaged in recycled bottles.

➢ When an invoice is overstated.

➢ When goods are returned to the supplier for various reasons e.g. they do not match the buyer's order.

➢ Return of damaged goods.

➢ The delivered goods were short i.e. they were less than those stated in the send invoice

Credit Note
[See: Rule 17A]

MUSAK-12

Name of the Business Organisation	: **ABC Company**	Telephone No.	:	**0880-2-8357241**
Address	: 5/9 Akik Mhal, Naya Platan Dhaka, Bangladesh, 1000, E-Mail :sales@abc.com	Fax	:	
TIN	: **50874512001**			
Name of Buyer/Seller	: **Roshan Bakery**			
Address	: K S Bhaban, Mirpur Road, Dhaka, Bangladesh, 1217			
TIN	: **50874512011**	Sl.Number of Credit Note	:	**1**
Kinds of Vehicle and its number	: **119283599**	Date of Issue of Credit Note	:	**4-Apr-2012**

Sl.No.	Sl.No. of Challanpatra and Date	Goods or services returned back				Declared in challanpatra Ref:sec 10 and Rule 17A(1)		Reduced or Defective Ref: Sec 10 and Rule 17A(1)	
		Name and quantity	Total value exclusive of all taxes	Amount of other taxes	Amount of VAT	Amount of other taxes	Amount of VAT	Amount of other taxes	Amount of VAT
1	2	3	4	5	6	7	8	9	10
	RBC01, 4-4-2012	Wafers 2 Kgs	90.00	58.50	22.28				
		Rusk 1 Kgs	64.00	41.60	15.84				
		Total	**154.00**	**100.10**	**38.12**				

Reason for issuing Credit Note : **Being goods returned by customer**

Date :

Seal and Signature of the Seller

Debit Note

- ✓ Is issued by a supplier to a buyer.
- ✓ It acts as a supplementary invoice i.e. an additional invoice.
- ✓ It shows:
  - ➢ The names and addresses of the buyer and supplier.
  - ➢ The amount of undercharge or the amount to be paid.
  - ➢ The date on which the debit note was issued.
  - ➢ The debit note number.
- ✓ It is used when:
  - ➢ Requesting a buyer to top up for payment of goods already delivered.
  - ➢ Correcting an undercharge.
  - ➢ Goods were under invoiced.
  - ➢ Goods were over supplied.

Debit Note
[See: Rule 17A]

MUSAK-12A

Name of the Business Organisation	: **ABC Company**	Telephone No.	: **0880-2-8357241**
Address	: 5/9 Akik Mhal, Naya Platan Dhaka, Bangladesh, 1000, E -Mail :sales@abc.com com	Fax	:
TIN	: **50874512001**		
Name of Buyer/Seller	: **Xcel Bakers**		
Address	: Supariwalapur, Chittagong, Bangladesh, 4100		
Business Identification Number	: **50875342102**	Sl. Number of Debit Note:	**1**
Kinds of Vehicle and its number	: **11045299**	Date of Issue of Debit Note:	**3-Apr-2012**

Sl.No.	Sl.No. of Challanpatra and Date	Information furnished in Challanpatra				Regarding Less declaration or difference	
		Name and quantity of goods or service	Total value excluding all taxes	Amount of other taxes	Amount of VAT	Amount of other taxes	Amount of VAT
1	2	3	4	5	6	7	8
	XBD01, 3-4-2012	Wafers 2 Kgs Rusk 1 Kgs					10.50 8.25
		Total					**18.75**

Reason for issuing Debit Note : **Being goods returned as they were not of the specified quality.**

Date :

Seal and Signature of the Seller

MR. NCUBE 0778664193

Statement of Account

- ✓ Also known as an account statement or customer statement.
- ✓ It is a summary of all the transactions (for a particular customer) over a period of time.
- ✓ It is issued by a seller to a buyer.
- ✓ It is issued when goods or services are bought on credit.
- ✓ It is sent as a request for payments.
- ✓ Reminds customers that payments are due.
- ✓ Assists buyers to reconcile with their own requests or make queries before making payment.
- ✓ May be used for advertising.
- ✓ It is used as a source document for accounting purposes.
- ✓ It shows:
    - ➢ The date on which it is issued.
    - ➢ The names and addresses of the buyer and seller.
    - ➢ The amounts due.
    - ➢ The balance carried forward and brought down.
    - ➢ Credit notes issued and adjustments.
    - ➢ Debit notes issued and adjustments.
    - ➢ Interest to be applied and paid on overdue amounts.
    - ➢ The rate of interest on overdue amounts
    - ➢ Invoice numbers and their individual amounts.
    - ➢ Instalment payments made/payable.
    - ➢ Instalment/Payment due date.
    - ➢ Terms of payment.

Statement of Account

K·STATE
Kansas State University
Controllers Office - Cashiers
212 Anderson Hall,
Manhattan, KS 66506

1 8[redacted]
ID NUMBER

Bill Code: 00

ACCOUNT ACTIVITY THROUGH 7/15/2008 9

Balance Due 3,710.59
Due Date 2 8/15/2008

[redacted] 3

* A 1.5% DEFAULT CHARGE WILL BE ASSESSED ON ANY BALANCE NOT PAID BY THE DUE DATE.
* MAKE CHECKS PAYABLE TO KSU. WRITE STUDENT ID NUMBER ON CHECK.
* MAKE ADDRESS CORRECTIONS THROUGH iSIS <https://isis.k-state.edu>.
*

PLEASE CUT ON DOTTED LINE - RETURN THE TOP PORTION WITH YOUR PAYMENT AND RETAIN THIS PORTION FOR YOUR RECORDS

TRANSACTION DATE	4 DESCRIPTION		CHARGES / DEBITS 5	PAYMENTS / CREDITS 6	BALANCE 7
6/20/2008	Campus Privilege Fee-Manhattan		336.60		336.60
6/20/2008	Undergrad Resident Tuition-Man		3,175.52		3,512.12
6/26/2008	Undergrad Resident Tuition-Man		198.47		3,710.59
	---------------ANTICIPATED FINANCIAL AID---------------				
	Arts & Sciences Excellence	625.00			
	Total Pending Financial Aid: 8	625.00			
	------------------- Additional Messages -------------------				
	If you have applied for financial aid, but the "anticipated" aid amount(s) on this bill appear(s) to be incomplete or missing, K-State's Office of Student Financial Assistance encourages you to review your To-Do -List within iSIS Student Center.				
	Should you have additional questions/concerns regarding your anticipated financial aid, please contact us at 785 -532-6420 or 877-817-2287 (toll free).				

Page 1 of 1 Balance Due 3,710.59

Payments must be received by 4:00 P.M. on the Due Date shown above. If you pay your account by a consumer check, you authorize KSU to process the check as an ACH debit against the account on which it is drawn. An ACH debit will clear more quickly than a check. Your check will not be returned to you. The debit will appear on your bank statement and will be your proof of payment.

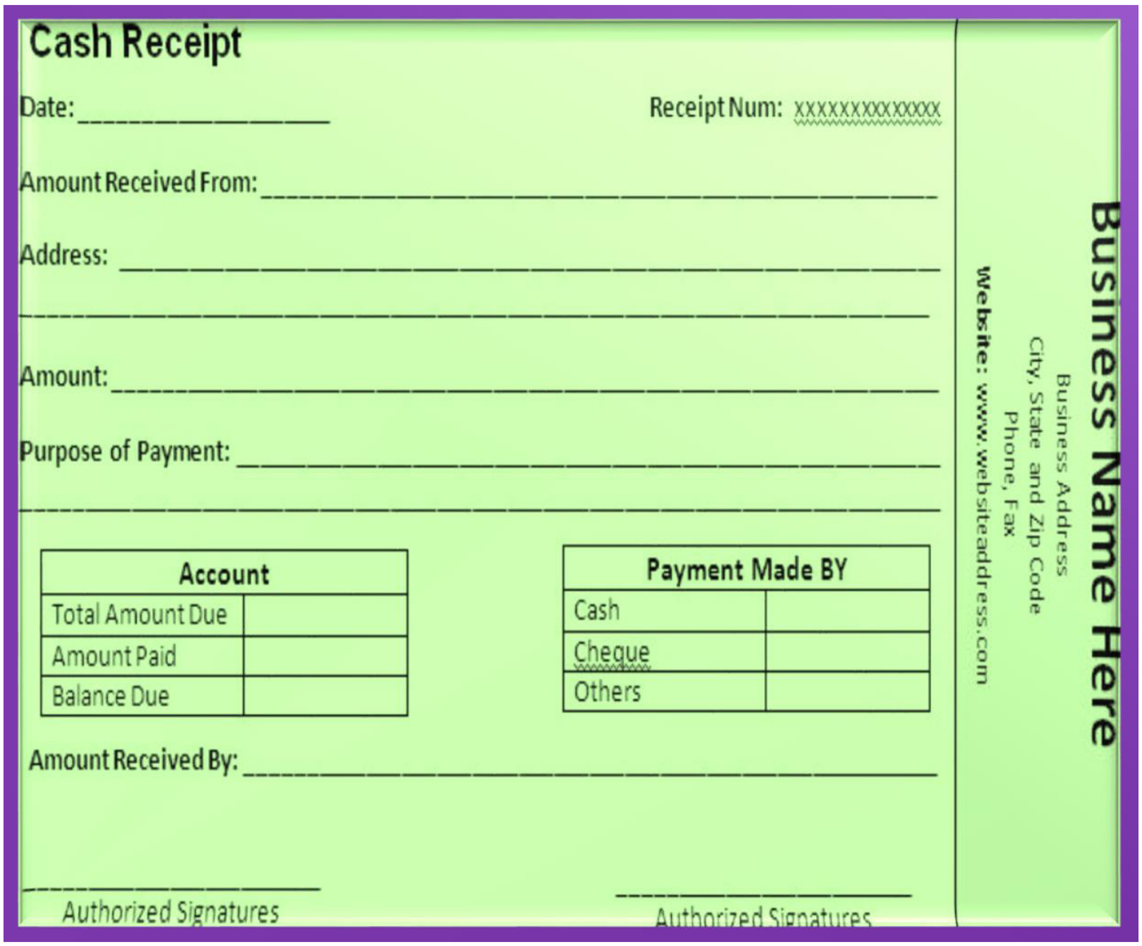
8[redacted]

PLEASE RETURN THE TOP PORTION OF YOUR BILL WITH PAYMENT. FAILURE TO PAY THE BALANCE DUE BY THE DUE DATE COULD RESULT IN A 1.5% DEFAULT CHARGE BEING ADDED TO YOUR ACCOUNT AND A HOLD PLACED ON YOUR ACADEMIC RECORDS.

Statement of Account Questions? http://controller.k-state.edu/cashiers; cashier@k-state.edu; 785-532-6317
Kansas State University, Controller's Office - Cashiers, 212 Anderson Hall, Manhattan, KS 66506

Receipt

- ✓ Is issued by a seller to a buyer.
- ✓ It is used to acknowledge a cash payment.
- ✓ It is evidence of a cash sale.
- ✓ It shows:
    - ➢ The names and addresses of the buyer and seller.
    - ➢ Date of receipt issue.
    - ➢ Reason for payment.
    - ➢ Description Of goods-if it is a receipt for a cash sale.
    - ➢ Prices of goods and unit prices.



Cash Receipt

Date:________________ Receipt Num: xxxxxxxxxxxxxx

Amount Received From:____

Address:____

____

Amount:____

Purpose of Payment:____

____

Account	
Total Amount Due	
Amount Paid	
Balance Due	

Payment Made BY	
Cash	
Cheque	
Others	

Amount Received By:____

____________________ Authorized Signatures

____________________ Authorized Signatures

Business Name Here

Business Address

City, State and Zip Code

Phone, Fax

Website: www.websiteaddress.com

Till slip

- ✓ It is issued by a seller to a buyer.
- ✓ It shows a cash payment.
- ✓ It is evidence of a cash sale.
- ✓ It shows:
    - ➢ The date and time of purchase.
    - ➢ Description of goods and services.
    - ➢ Unit prices.
    - ➢ Total paid.

- The sellers code of goods and services.
- The amount of cash tendered.
- The change given out.
- The name of the seller.
- The name of the cashier.
- Voucher code and recharge codes e.g. for airtime and electricity.

TOPIC 3: CONSUMER PROTECTION

Consumer protection boards

Consumers are often exploited when they carry out their day-to-day transactions, so they need protection. Consumer protection boards have been put in place to protect consumers from exploitation by traders, such as the Consumer Council of Zimbabwe and the Standards Association of Zimbabwe.
The Consumer Council of Zimbabwe
The Consumer Council of Zimbabwe (CCZ) was formed to protect and empower consumers by monitoring product quality and service. It was formed in 1975

The functions of the Consumer Council of Zimbabwe

✓ • It investigates consumer complaints· - The CCZ handles a wide range of complaints between consumers and traders. It receives complaints from consumers and investigates them. It settles disputes (arbitrates) between consumers and traders.
✓ It educates consumers on their rights and responsibilities - The CCZ educates consumers using workshops, seminars, panel discussions, meetings, newspapers, radio and television.
✓ It provides advice to consumers – For example, the CCZ advises consumers to buy wisely by comparing prices and the quality of goods from different shops. Consumers are encouraged to do window shopping.
✓ It encourages proper labelling and fair competition - The CCZ encourages the proper labelling of goods and fair competition among manufacturers.
✓ It conducts spot checks - The CCZ makes unannounced visits to retailers to make sure that prices recommended by government are adhered to and standards of hygiene are maintained.
✓ It promotes standards - The CCZ promotes manufacturing standards of good quality products and ethical, moral and decent advertising of goods and services.
✓ It discourages unfair practices - The CCZ discourages the use of disclaimer clauses conditional selling of goods and misleading and disparaging advertising.
✓ It conducts surveys - The CCZ publishes the results of goods tested and reputable shops to consumers.
✓ It lobbies for appropriate consumer legislation - The CCZ successfully lobbied for the establishment of the Small Claims Court.
✓ It carries out market research - The CCZ uses the results of market research to advise the government to make certain laws and regulations for the protection of consumers from exploitation.
✓ It acts as a watchdog - I L publishes the names of unscrupulous traders and discourages profiteering by overcharging.

How to take your case to the Small Claims Court

Since consumers are often subjected to various forms of exploitation and unfair transactions, a few guidelines from the Consumer Council on how to make a claim, but first let us look at the terms that are used in a Small Claims Court.
✓ When a person makes a claim in court, they are suing. The person who makes a claim is called a plaintiff. The person against whom the claim is being made is the defendant. If wronged you the following are the steps to follow in taking a case to the
Small Claims Court:

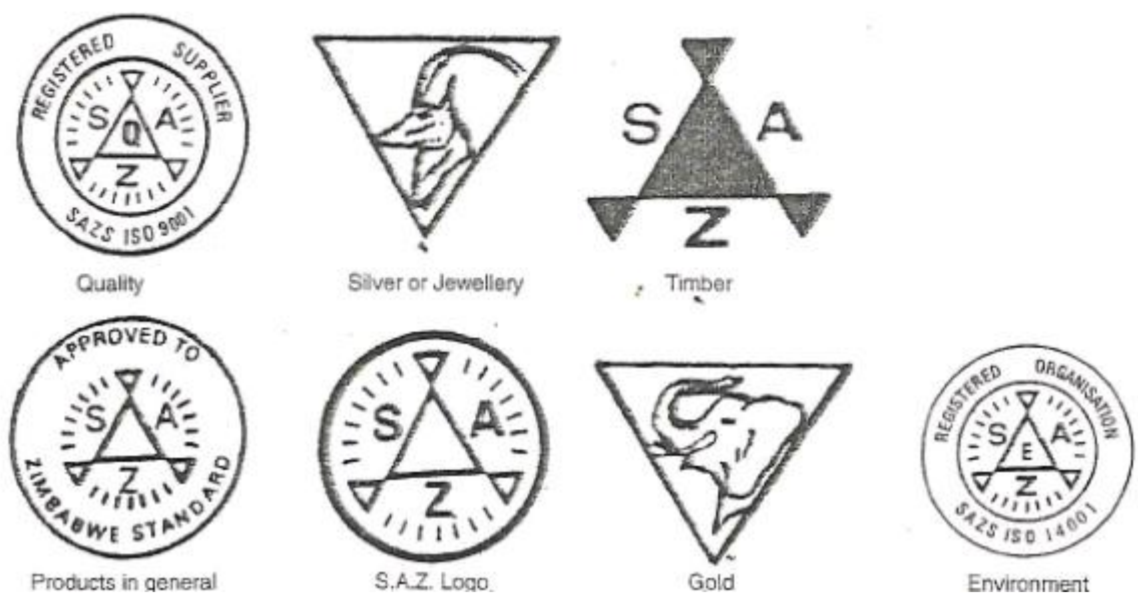
1) Write a letter of demand.
a. You can buy a draft copy of how to write your claim from Government Publications.
b. The letter should state what claim you want to make against the defendant.
2) Send the letter of demand to the Clerk of Court at the Small Claims Court.
3) The letter of demand must be stamped by the Clerk of Court.
4) You (the plaintiff) then deliver a copy of the letter of demand to the defendant.
5) The defendant has 14 working days to respond.
6) If the defendant does not respond, you (the plaintiff) must issue summons through the court against the individual.
a. A summons must state the reasons why you are making a claim against the defendant, the details of the claim and the amount that you are claiming.
b. You must attach revenue stamps and a copy of an affidavit (SCC 2 Form) to the summons.
c. The Clerk of Court will stamp all the documents in acknowledgement of receipt of the documents.
7) The Messenger of Court will deliver the summons to the defendant with a court date.
8) The Messenger of Court will send the summons to you (the plaintiff), stating how the summons was served to the defendant. The served summons is called a return of service.
9) After the summons has been delivered to the defendant, you (the plaintiff) will then wait for the defendant's response.
10) The defendant may:
a. agree to pay what you ask:
i. The defendant must sign the section on the back of the summons form where it says Consent to Judgement.
ii. You (the plaintiff) must arrange how the payment will be made in consultation with the court.
b. deny your claim
i. If the defendant wants to argue against the claim, they must fill in the section on the back of the summons form entitled Appearance to Defendant.
ii. The defendant must write down his or her side of the story, explaining why he or she disagrees. This is known as a plea.
c. Not answer at all.
i. If the defendant fails to answer the notice, you (the claimant) can ask the court for a default judgement, which makes the defendant obliged to pay the claim.
ii. The defendant will be told to pay the money to the Clerk of Court within a certain time, after which, the plaintiff can collect it from the court.
iii. If the defendant still does not pay, the claimant can apply to the court to have the defendant's property sold and the proceeds paid to you. This is called a warrant of execution.
iv. If the defendant has no money, but is working, you can make an application to the court to have some money taken from his salary every month until the whole amount is paid. This is called a garnishee order.

The Standards Association of Zimbabwe

The Standards Association of Zimbabwe (SAZ) is the national standards body of Zimbabwe. It was formed in 1957. The Standards Association of Zimbabwe is a non-profit making organisation and a non-government body with the following are the functions:

- ✓ Standards Association of Zimbabwe:
  - ➢ It adopts or adapts, modifies and monitors international standards of product performance, safety and quality.
  - ➢ It prepares standards of products to be followed by all producers.
  - ➢ It issues copies of standards specifications to producers.
  - ➢ It tests goods for quality, safety and performance to protect the consumer from poor quality goods.
  - ➢ It authorises manufacturers to use the SAZ seal (mark) of approval.
  - ➢ It ensures that the quality of products is maintained as approved.
  - ➢ It encourages uniformity or standardisation of products.
  - ➢ It provides a library information service on standards.
  - ➢ It provides laboratory testing facilities for manufacturers of products bearing the SAZ seal.

The SAZ seals.



Methods of consumer protection

- ✓ Protection is through a variety of laws and regulations made by the government.
- ✓ Another form of protection involves the activities of voluntary organisations, such as the Consumer Council of Zimbabwe and the Standards Association of Zimbabwe.
- ✓ The last form of protection involves the consumers themselves, who need to be careful when making purchases.
- ✓ The Advertising Media Association of Zimbabwe (ADMA)
- ✓ The Small Claims Court to protect consumers.

Protection by the government

✓ The government protects consumers through passing laws in parliament. The government of Zimbabwe supports the existence of and the work done by voluntary organisations to protect consumers. These organisations are:

- the Consumer Council of Zimbabwe (CCZ)
- the Standards Association of Zimbabwe (SAZ)

The government has established various parastatals through Acts of parliament and has passed the following legislation to protect consumers.

✓ **The Hire purchase Act** guards against unfair and unlawful repossession of goods bought on credit.

✓ **The Consumer Safety Act** ensures that products are safe for human consumption.

✓ **The Fair Trading Act** guards against false pace cutting, hoarding and conditional selling or goods.

✓ **The Sale of Goods Act** specifies that goods must fit the purpose or description for which they are sold.

✓ **The Trade Measures Act or Weights and Measures Act** guards against underweighting, incorrect weight and measures.

✓ **The Foods and Drugs Act or Foods Standards Act** guards against adulteration of products and improper labelling of goods.

✓ **The Price Control Act** safe-guards against the overpricing of goods.

✓ **The Consumer Safety Act** ensures that products are safe for human consumption, such as expired goods.

✓ **The Consumer Contract Act** protects consumers against the use of disclaimer clauses by some traders.

✓ **The Consumers Protection Act** makes it an offense to give false or misleading price Indications, for example, advertising that goods were previously sold at a t a higher price when they were not.

✓ **The Consumer Credit Act** stipulates that advertisements for goods sold on credit must include a cash price, a credit price and a true rate of interest.

✓ **The Merchandise Marks Act** prohibits the use of the standards rum (seal) of approval on untested products.

✓ **The-Public Health Act** prohibits the use, consumption or sale of dangerous (harmful) substances, for example, tobacco and liquor, without warnings, such as 'Smoking Is hazardous to your health.

✓ The Food and Drinks Act ensures that food labelling on products is dear and truthful.

✓ **The Dangerous Drugs Act** makes It an offense to mislead consumers about the drug can heal them,

✓ **The Drugs Act** stipulates that certain drugs may not be bought over the counter without a dotter's prescription.

Local authorities

Local authorities are part of local government include municipal authorities with departments of health that issue by-laws to compliment the Ministry of Health and Child Welfare. The local authorities ensure that all business organisations keep high standards of hygiene on their premises. They also make sure that vendors and hawkers sell goods in the correct designated places.

Self-protection by consumers

Consumers are advised to take note of the following paints in order to avoid overspending and possibly being exploited by marketers:

- ✓ Prepare a shopping list and budget for what to buy so that you can avoid impulse buying.
- ✓ Do some window shopping in order to compare prices and quality of goods from different shops before you buy.
- ✓ Read and listen to the advertisements carefully so you can tell the difference between truth and lies.
- ✓ Carefully inspect goods for quality, expiry dates, faults, correct labels and measurements before you buy.
- ✓ Check if spare parts and after-sales services are available.
- ✓ Read and understand guarantees before you buy.
- ✓ Know about, understand and exercise consumer rights and legislation.
- ✓ Get consumer education from the Consumer Council so that you can buy wisely.
- ✓ Check for the standards seal of approval.
- ✓ Be careful not to have too many credit commitments.
- ✓ Read and understand credit agreements before you sign them. For example study the terms and conditions of sale for hire-purchase and the credit sales agreements.
- ✓ Always ask for a receipt or an invoice when you buy goods and services.

TOPIC 4: BUSINESS ORGANISATION

Unincorporated business organisations

Def.: An unincorporated business unit is a commercial business enterprise that is privately owned by one or more entrepreneurs and is not registered by the Registrar of Companies.

FEATURES OF UNINCORPORATED BUSINESSES

1. **Liability**

✓ Personally, liable for any debts incurred by the business to the extent of losing their personal possessions to cover business debts. This is called unlimited liability of the owner.

2. **Ownership**

✓ Ownership of an unincorporated business is not separated from the owner and business.

✓ The owner and the business are merged into one and this technically means if a creditor sues the business, he/she will automatically sue the owner

Taxes

✓ The owner of an unincorporated business is responsible for paying taxes on the profits of the business. This means that the Zimbabwe Revenue Authority does not see the business as a separate tax entity.

Costs

✓ The owners of unincorporated businesses have to pay certain costs when they form the business. For example, they have to pay for trading licenses for them to start operating.

Disclosure requirements

✓ Unincorporated business owners are not required by law to disclose their financial statements to the public or the Registrar of Companies.

Existence of the business

✓ The existence of the business relies heavily on the lifespan of the owner or entrepreneur. This technically means these businesses lack continuity [the owner dies along with the business]

Management

✓ The existence of the business relies on the managerial skills of the owner, because poor management leads to business failure whilst good management leads to flourishing of the business

✓ Managerial skills include the following:

- ➢ Management of people
- ➢ Management of finances
- ➢ Management of marketing
- ➢ Management of inventories

3. **Formation**

✓ The only document required to form an unincorporated business is a trading license for those people who want to go into commercial activities.

Ownership

✓ Ownership belongs to the founder[s], buyer[s] or

✓ Inheritor[s] of the business. Decisions are made by the owners themselves.

4. **Control**

✓ The individual entrepreneurs own and control all business activities. Decision-making is in the hands of the entrepreneur or the group of entrepreneurs who own the business.

Types of unincorporated business units

There are two types of unincorporated business units operating in the private sector: sole proprietorships and partnerships.

Sole proprietorships

✓ A sole proprietorship is the oldest and simplest form of a business unit. It is a one person business unit.

✓ The owner is the entrepreneur who has invested his or her money into the business.

✓ The setting up of a sole proprietorship depends largely on the interests, capabilities and skills of the owner and the preparedness by the entrepreneur to take risks. E.g. butcheries, hair salons, barber shops, flea markets and welders.

Advantages of unincorporated business unit [Sole trader]

✓ They are easy to form and start operating.

✓ The costs to register the business are fairly low.

✓ They can be formed whenever you want.

✓ You can exit the business activity when the business is not doing well.

✓ They do not require a lot of paperwork during registration.

✓ You do not need a large amount of capital to start the business.

✓ The business financial statements are private.

✓ The owner controls all the operations of the business.

✓ The owner enjoys all the profits.

✓ The owner has a direct interest in the customers and attends to the customers' requirements.

Disadvantages of unincorporated business unit [Sole trader]

✓ There is no separation of business and owner.

✓ The business is not a legal person, or body corporate, and cannot own property and sue other businesses.

✓ The owner of the business does all the managerial tasks, which can result in inefficiencies.

✓ The owner of the business has unlimited liability and personal possessions can be sold to pay the business debts.

✓ The business units have limited chances of growing and expanding in their operations due to a limited capital base.

✓ The businesses may lack depth in its range of products due to a lack of qualified personnel.

✓ The business's existence relies on the existence of the owner. There is no continuity in the existence of the business.

Partnerships

✓ Partnerships are businesses that are formed when two or more people, up to a **maximum of 20** for trading and are an extension of sole proprietorships

- ✓ Each partner contributes money, labour or skills for the common purpose of running
- ✓ the business so that it makes a profit.
- ✓ A partnership requires a written agreement between the partners and the written agreement is also known as the Deed of Partnership.
- ✓ The Deed of Partnership should include the following:
  - ➢ Procedure for dissolution
  - ➢ Individual contributions to the business [capital]
  - ➢ Profits and losses sharing ratios
  - ➢ Rate of interest on capital
  - ➢ Interest charged on drawings
  - ➢ Duties of the partners
  - ➢ Salaries of the partners

Types of partnerships

A general partnership

A general partnership is identified by having partners who:

- ➢ manage the partnership and share the profits and losses
- ➢ play an active role in the day-to-day management of the business'
- ➢ have unlimited liability for the debts of proprietorship.

A limited partnership

A limited partnership is identified by having partners who:

- ➢ are liable for the amount they have invested in the business
- ➢ are prohibited from taking an active role in the day-to-day decision-making and operations of the business, but can make suggestions about the operations of the business
- ➢ can be silent partners who invest their money but do not involve themselves in the operations of the business and do not allow their names to be used or appear in the business's name.

Advantages of unincorporated business unit [Partnership]

- ✓ They are easy to form and start operating.
- ✓ The costs to register the business are fairly low.
- ✓ They can be formed whenever you want.
- ✓ You can exit the business activity when the business is not doing well.
- ✓ They do not require a lot of paperwork during registration, less legal formalities.
- ✓ They raise more capital as compared to a sole trader
- ✓ Quality decisions are made due to consultations to partners.
- ✓ The business financial statements are private.
- ✓ The owner controls all the operations of the business.
- ✓ The owners share losses.
- ✓ The owner has a direct interest in the customers and attends to the customers' requirements.

Disadvantages of unincorporated business unit [Partnership]

✓ There is no separation of business and owner.
✓ The owners share profits
✓ Conflicts may arise in the business
✓ There is bureaucracy due to consultations
✓ The business is not a legal person, or body corporate, and cannot own property and sue other businesses.
✓ The owner of the business does all the managerial tasks, which can result in inefficiencies.
✓ The owner of the business has unlimited liability and personal possessions can be sold to pay the business debts.
✓ The business units have limited chances of growing and expanding in their operations due to a limited capital base.
✓ The businesses may lack depth in its range of products due to a lack of qualified personnel.
✓ The business's existence relies on the existence of the owner. There is no continuity in the existence of the business.

TOPIC 5: ENTERPRISE

Management functions

The five management functions are planning, coordinating, organising, directing and controlling. These five comprises the duties of managers in business organisations.

Planning
Planning is looking ahead. This involves setting aims or targets for the organisation. Planning gives the organisation a sense of direction or purpose. Managers need to take the organisation's available resources and the flexibility of its personnel into consideration when planning.

Organising
An organisation can only function well if it is organised. This means that there must be sufficient capital, staff and raw materials for the organisation to run smoothly and have a good working structure. A manager cannot do everything, and must therefore delegate responsibilities to others in the organisation. These people must have the resources to do their tasks. It is the responsibility of the manager to make sure that these resources exist. The manager's function is to organise people and resources effectively.

Directing
People who work in an organisation need to know what to do. This means that managers need to give clear working instructions so that employees know exactly what is required of them. Managers need to be able to motivate a team and encourage employees to take the initiative.

Co-ordinating
Co-ordination means bringing together. The co-ordinating function of management means bringing the people in the organisation together. For example, an organisation with many departments, such as marketing, production, transport and finance, needs to be co-ordinated so that the people can work well together for the good of the organisation. This requires clear communication and good leadership. Only through positive employee behaviour management can the intended objectives be achieved.

Controlling
The controlling function of management involves verifying whether everything is going according to plan and making sure that the correct activities are being carried out. Managers need to measure and evaluate the work of all individuals and groups to make sure they are on target or meet the aims of the organisation

The importance of management functions

- **They help to accomplish goals** – An organisation's managerial function includes planning the use of all the resources and understanding how to balance each of the resources in such a way that each task is performed and completed in the most cost effective way.
- **They help with time management** – Time management skills are important to both

organisations and individuals. Time is a resource that can be wasted, therefore planning and knowledge of each step of a business's value chain is important for an effective and efficient organisation.

• **They help with decision making** - Management and all employees of a business must understand each step of their jobs and tasks extremely well. All employees must also understand the impact of a wrong decision. Since mistakes do happen, even with the best managers, a properly trained and engaged employee will know exactly how to react if an error occurs and how to fix it.

• **They help to generate a profit** - The main goal of all businesses is to make a profit. Since profit is made when all expenses are deducted from all income received, it is vital for a business to ensure that expenses are as low as possible, and as much income is received as possible. This means that employees in the finance department must ensure that debtors pay the business quickly and that creditors are paid exactly according to the terms of the business can still earn interest on its funds, and not too late because that a will incur interest payable). Each employee in the manufacturing section of the business must ensure that all raw materials are used effectively and efficiently to reduce waste. Each employee should also lake pride in the products produced and speak to management when products are wasted or stolen in their business.

• **They help to reduce costs** – Companies get maximum results when they use proper planning to get the maximum output with the minimum input. Management needs to use physical, human and financial resources in order to get the best results with the best combination. This helps in cost reduction.

Business ethics

Ethical considerations in business

Ethics are rules or principles that guide the behaviour of people or organisations towards what is good for people and society. They are moral guidelines.

It is important for an organisation to operate ethically so that it can be held accountable for its actions. All reputable business organisations should have a formal code of ethics. A code of ethics is a written document stating how all the individuals working in the organisation and other stakeholders should behave. A code of ethics can assist an organisation to establish a unique company culture, especially when there are various different cultures working within the same organisation.

A well-written code of ethics, which is accepted by all employees and executed by each employee every day, ensures that the organisation will be seen as a leader within industry.

A code of ethics could have the following elements:

• **Honesty** - This element will state how the organisation views honesty and how they will treat employees and customers with regards to honesty. For example, dishonesty of employees will be dealt with according to the organisation's disciplinary code and the dishonesty of stakeholders will be dealt with according to the relevant legislation applicable to the offence.

• **Integrity** - This element refers to how reliable the organisation is towards all its stakeholders. For example, the organisation shows integrity when it pays the employees' salaries when they are supposed to or if it pays its creditors strictly according to the payment

agreement.
• **Trust** - Within all relationships there must be a certain level of trust. For example, an employee must be able to trust another employee that specific output will be done at a given time or the finance department must trust that the debtors will pay according to the payment agreement. Trust is also the belief that the agreement between two parties will be honoured by both parties.
• **Loyalty** - This element refers to the consistent devotion between two stakeholders. Internally, this is quite a difficult matter because employees are often required to work with one another without having an option. It is easier for external stakeholders to reflect loyalty. For example, if the client receives the required quality~ quantity of products and the supplier is paid according to the agreement, both stakeholders will be loyal to each other until such time as the required performance is not according to the agreement in place.
• **Fairness** - This refers to how the organisation treats all stakeholders. For example, all employees should be treated the same way when it comes to salary adjustments and the organisation's disciplinary code should be applied in the same way to all employees who are guilty of the same offence. In terms of external stakeholders, all suppliers should be treated in the same way if they fail to deliver according to the agreed delivery agreement, for example.
Caring - It has become very important for organisations to care about the communities in which they operate. For example, organisations are expected to: ensure that natural resources, such as the air and local rivers, are not polluted and are taken care of
• offer jobs to people from the local communities
• provide assistance to local communities in the event of natural disasters, like floods, fires and drought
• grant bursaries for tertiary studies to the children from the local communities.
• **Respect** - This refers to how people or organisations admire or have a high opinion of each other. Respect should be observed between all levels of organisation. So, the electrician should show respect to the CEO and the CEO should show respect to the electrician.
• **Obeying the law** - Each country has specific legislation to ensure that the country functions properly. Organisations play their part in obeying the law by paying taxes to the government according to the taxation laws, ensuring that the applicable health and safety laws are enforced at various sites, reporting fraud to the authorities and dealing appropriately with serious crimes, like assault, when they happen in the organisation.
• **Morale** - This element refers to how optimistic employees are about the organisation and how happy they are to work for it. If the morale of the employees is high, they are more willing to work hard for the organisation.
All the elements listed are interlinked. If one element is missi.ng or deemed to be unimportant to an organisation, its code of ethics will not function as it should.

The role of ethics in business and society

No reputable business wanting to continue with its operations should operate without a code of ethics. Ethics have several functions in business and society, as follows:
• Organisations that work strictly according to the acceptable ethical practices of the society or community in which the organisation functions will ensure that the organisation's reputation is in good standing.
• Organisations that adhere to legislation relating to health and safety will be deemed as ethical organisations in that they portray an image of caring to both their employees and the

environment.

• Organisations that are visible within the community, for example by sponsoring schools, community centres, health days, awareness against abuse of children or local sport events, are deemed as caring towards their community and have a high regard for a healthy, dignified community.

• How quickly an organisation reacts to natural disasters, such as floods and fires, affecting communities will show communities that the organisation cares about people and not just profits.

Importance of business ethics

Business ethics are very important to a business to ensure that it continues to operate or function.

Unethical behaviour by anyone in an organisation can destroy a business. For example, consider a large retail business that pays its employees a good salary, and gives more than the legally required annual leave and the employees still steal stock from their employer to sell for their own profit.

This retail business would soon have no funds to pay their employees and the suppliers.

Companies and individuals may choose not to conduct business with organisations that act unethically.

There have been instances where the lack of ethical behaviour by an organisation's employees has harmed the organisation's reputation so badly that the organisation had to close all its offices internationally, and it has caused changes to international legislation.

One famous example of this is the American energy company, Enron. In 2001 it was revealed that the company had been involved in fraud and corruption on a very large scale. The company eventually became bankrupt. The scandal also caused the large auditing and accounting company, Arthur Anderson, to close, as it was discovered they were also involved in the fraud.

It is therefore of the utmost importance that all organisations act and conduct business in an ethical way if they would like to continue business for a long time.

Ethical behaviour and corporate social responsibility can bring significant benefits to a business. For example, they may:

• increase customer, supplier and employee loyalty
• improve employee engagement resulting in high loyalty and reduced employee turnover
• improve the image and branding of a business, which could result in higher sales and possible profits, and an increase in investor interest (ultimately, an increased share price).

TOPIC 6: FINANCE AND BANKING

Budgeting

Def.: is a way of looking at how much money you make and how much you spend over a given period.

Def.: It is a detailed summary of the likely income (money coming in) and expenditure (money being spent) for a given period of time. It can be prepared for a weekly, a monthly or a yearly basis.

Importance of budgeting

It is a guideline for spending and saving, hence gives discipline on individual spending. One avoids overspending and buying on impulse, and you have more control over your finances.

Budgets help to:

- ✓ Work out the movement of your money so that you can identify wasteful expenditure
- ✓ Adapt to financial changes
- ✓ Prepare money for expected and unexpected expenditure
- ✓ Determine in advance whether you will have enough money to meet needs and wants
- ✓ Pay your bills on time
- ✓ Get out of debt or stay out of debt
- ✓ Plan your savings
- ✓ Achieve your financial goals by keeping you focused on your money goal.

Creating a budget

Follow these steps to create a budget:

1. Write a list of your financial goals and arrange them in order of importance. The goals should be realistic, for example build or buy a house, buy a car, payoff a loan.
2. Determine your sources of income. List the sources of income and the amount that comes in from each source.
3. Determine your expenses. List everything you spend your money on. You can use old financial documents such as receipts and statements to help you make this list.
4. Compare your income and your expenditure. Add up all your income and your expenses and subtract the expenses from the income to get the net income.

Borrowing

It is the act of taking and using an item that belongs to someone else for a given period of time with the intention of giving it back. Borrowing occurs regularly in our daily lives.

Reasons for borrowing

Individuals usually borrow to:

✓ **Start a business** - They obtain loans to purchase stock, pay bills and buy or rent premises so they can operate a business. The idea is to use the profits to pay back the loan.

✓ **Buy assets** - These items are large and expensive and take a long time to save for, such as a car or a house. You borrow in order to spread payment over a long period of time.

✓ **Meet emergencies** - Certain events may occur unexpectedly that may require spending large sums of money, for example, medical bills. Individuals may borrow to cover such unexpected expenses.

✓ **Fund special events** - People may borrow to fund a wedding, a holiday or fund their children's or their own education.

Borrowing options

The main methods of borrowing include:

✓ Credit cards
✓ Overdrafts
✓ Personal loans
✓ Mortgages
✓ Hire purchase
✓ Credit sales
✓ Leasing.
✓ The right borrowing option will depend on why you are borrowing, the amount you want to borrow and the period you want to borrow for.

Taxation

✓ A tax is a payment made to government by individuals or businesses on their income, purchases or business profits. It is a statutory obligation, which means that tax is compulsory.
✓ The Jaw expects all those who qualify to pay taxes and evading paying taxes leads to a punishable offence by the law.
✓ Taxes have the effect of reducing your disposable income and affects consumer spending. Hence taxes are an important part of managing your personal finances.

Taxes lake a variety of forms, and can be classified into:

1. Direct taxes –

➢ Direct taxes are taxes collected by government from the taxpayer, which means that the taxes are paid directly to the government.
➢ Direct taxes include taxes on income, profits and wealth. Examples include income tax, corporate tax and capital gains tax.

2. Indirect taxes –

➢ Indirect taxes are paid indirectly to the government by the tax payer. These taxes are collected on behalf of the government by a trader, who forwards them to government.
➢ They include taxes levied on the manufacture or sale of goods and services. Examples include value added tax (VAT) and sales tax. Indirect taxes have the effect of increasing the prices of goods and services.

Why pay taxes?

✓ To fund government activities - The taxes levied by government help created a source of revenue for the government, which enables it to pay its workers and to provide essential goods and services, such as health, education, public libraries, security and defence.
✓ To redistribute wealth - The government uses taxes to redistribute wealth from the rich to the poor. Personal taxes are usually charged based on the level of your income.

Governments make the rich pay higher taxes and use the revenue to fund programmes to assist the poor.

✓ To discourage the consumption of harmful goods and lessen their costs to society – The government uses taxes to decrease the adverse effects of some goods considered dangerous to society such as tobacco and alcohol. The taxes also Increase the prices of these goods, thus discouraging their excessive consumption.

Sources of financial advice

Financial advice may be obtained from:

- ✓ The media, such as business publications and newspapers
- ✓ Financial institutions, such as banks, insurance companies and building societies
- ✓ Family, friends and relatives.

Consequences of poor financial management

- ✓ Overspending
- ✓ loss of assets through repossession the inability to pay off debts
- ✓ blacklisted, which means you will not be able to get credit from financial institutions
- ✓ bankruptcy
- ✓ costly legal action by creditors
- ✓ Depression.

Banking systems

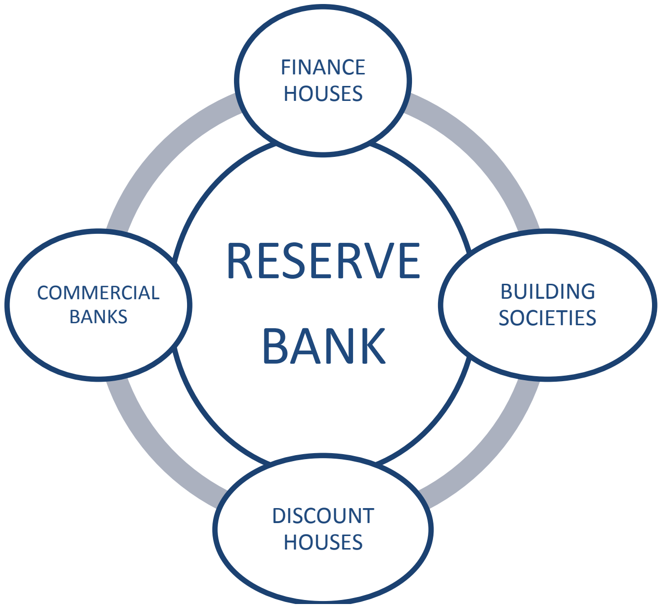
A bank is an institution that takes custody of a client's money and pays it out when the customer wants it.

✓ Banks are important in an economy because they facilitate payments, finance traders and customers, and keep money safe.

✓ A country's banking system is made up of different financial institutions. These financial institutions are classified into:

- ✓ Central Bank
- ✓ Commercial banks
- ✓ Building societies
- ✓ Savings banks
- ✓ Merchant banks
- ✓ Finance houses
- ✓ Discount houses.

NB// The Central Bank (RBZ) is the core of the financial system as it monitors, regulates and supervises other financial institutions.



Commercial banks
Commercial banks are companies that provide various banking facilities to the general public and organisations. Commercial banks in Zimbabwe include:
- ✓ Banc ABC
- ✓ Barclays Bank now called First Capital
- ✓ Commercial Bank of Zimbabwe
- ✓ Standard Chartered Bank

Role of commercial banks

✓ Commercial banks provide the means by which traders and consumers can send or receive payments. The main methods of sending and receiving payments include:
- ➢ Standing order or stop order
- ➢ Direct debit
- ➢ Credit transfer
- ➢ Real-Time-Gross-Settlement.

1. **Stop order/ Standing order**

The stop order, or standing order, is a method of payment that is used to pay a fixed sum of money at regular intervals.
- ✓ This is used to pay fixed amount each month at a fixed date each month.
- ✓ One completes a stop order authorisation instructing the bank to make the payments.
- ✓ This method of payment is appropriate when paying:
  - ➢ Mortgage instalments or loan repayments
  - ➢ Subscriptions to clubs and societies
  - ➢ Premiums to insurance companies.

Advantages:
- ✓ The debtor does not need to remember the payment.

- ✓ It saves the costs of writing and posting Cheques.
- ✓ The creditor gets paid promptly.
- ✓ It reduces the risks of bad debts.

2. Direct debit

- ✓ It is used for making payments of varying amounts at irregular intervals.
- ✓ It is used to pay varying amounts and dates of payment each month.
- ✓ This method is ideal for paying electrical bills, telephone bills and water bills.
- ✓ Account holder authorises the bank to pay the bill when it is presented by the creditor.
- ✓ Thus, the creditor initiates the payments and this method, both the creditor and the debtor must have bank accounts.

Advantages

- ✓ Reduces the risk of bad debts
- ✓ Saves on paperwork, as there is no need to send reminders
- ✓ Assures the creditor of payment
- ✓ Eliminates the costs of chasing debts

3. Credit transfer

- ✓ A credit transfer is a method of payment used to pay many creditors at the same time using one cheque.
- ✓ The bank client completes a multiple transfer form giving details of the creditors to be paid. It gives the:
    - ➢ Names of the creditors
    - ➢ banks and bank branches of the creditors
    - ➢ Account numbers
    - ➢ Amount to be paid to each creditor.
- ✓ The client then writes one cheque to cover the total amount to be paid.
- ✓ The bank debits client's account and transfers the amount to creditors account
- ✓ The creditor must have a bank account.
- ✓ If no bank account you can pay cash when you present the transfer form.
- ✓ The system is ideal for paying salaries to workers and dividends to shareholders.
- ✓ The method saves the time and costs of writing and posting many cheques.

4. Real-time gross settlement (RTGS)

- ✓ It is a method of payment that involves the electronic transfer of money between banks. The transfers are done:
    - ➢ in real time, which means there is no waiting period for the payment and the accounts are settled as soon as the order is processed
    - ➢ On a gross basis, which means that payments are done independently one by one and they are processed separately and not combined with other transactions.
- ✓ The RTGS is controlled by the Reserve Bank of Zimbabwe.

5. **Accepting deposits**

✓ Commercial banks accept money from organisations and the general public for safekeeping.

✓ They operate different types of bank accounts where individuals and organisations can keep their money safe.

✓ The main types of accounts are:

- ➢ Current accounts
- ➢ Savings or deposit accounts.

Current accounts

A current account has the following features:

✓ It is provided by commercial banks only.

✓ The account holder is given a cheque book so that payments can be made using cheques.

✓ The account has no minimum balance.

✓ The account holders can overdraw their account if authorised by the bank (at a fee).

✓ It is ideal for keeping small sums of money for short periods as balances earn low rates of interest.

✓ The account holder receives monthly statements from the bank summarising all transactions.

✓ Withdrawals from the account can be done at any time, even without notifying the bank.

✓ Account holders have access to facilities such as stop orders, direct debits and credit transfer facilities.

✓ Banks charge a ledger fee for maintaining the account and a service fee [or carrying out transactions.

Savings account

✓ A savings account has the following features:

✓ The account can be opened with any banking institution.

✓ Savings accounts arc aimed at those who wish to save over long periods of time.

✓ The account earns interest,

✓ The account requires a minimum balance and cannot be overdrawn.

✓ The account holder uses a passbook and deposit and withdrawal slips to carry out transactions.

✓ All payments from the account are made on a cash basis.

✓ Holders have no access to stop orders, direct debit and credit transfer facilities.

✓ There are no ledger fees but the account holder has to pay service charges for transactions carried out.

✓ Notice of withdrawal is needed.

✓ Account holders do not receive monthly statements. Statements are only issued on request.

The cheque system.

✓ The cheque system is a function that distinguishes commercial banks from other financial

What is a cheque?

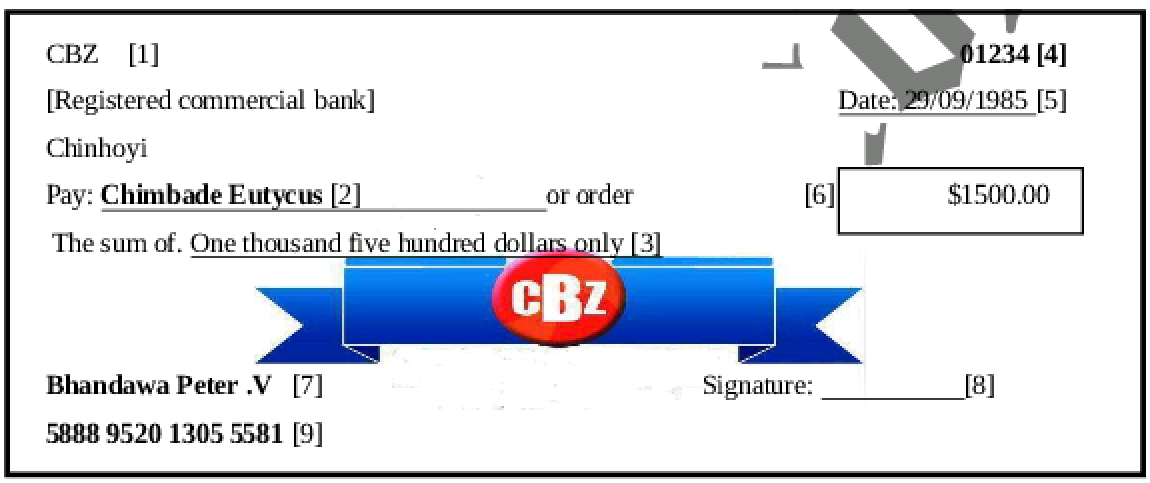
✓ A cheque is a document used to withdraw money from a current account. A cheque is an instruction to a bank to pay the stated sum of money to the named individual.

✓ Whenever a cheque is used, three parties are involved:

➢ The drawer - the account holder, the person giving the instruction
➢ The drawee - the bank where the account is held
➢ The payee - the named individual, the person to be paid.

✓ A cheque shows the following details:

➢ Drawers name
➢ Drawee's name
➢ Payee's name
➢ Branch code
➢ Date
➢ Amount in word and in figures
➢ Account number
➢ Cheque number
➢ Drawer's Signature.


CBZ [1]
01234 [4]
[Registered commercial bank]
Date: 29/09/1985 [5]
Chinhoyi
Pay: **Chimbade Eutycus** [2] or order
[6] $1500.00
The sum of. One thousand five hundred dollars only [3]

Bhandawa Peter .V [7]
Signature: [8]
5888 9520 1305 5581 [9]

1. Drawee - **CBZ**
2. Payee - **Chimbade Eutycus**
3. Amount in words
4. Cheque number
5. Date of issue
6. Amount in figures
7. Drawer – **Bhandawa Peter. V**
8. Signature of drawer
9. Account number

A cheque can be a:

➢ **Bearer cheque** - A bearer cheque is payable to the named person or anyone who presents the cheque at the drawee bank. A bearer cheque states 'Pay: named person's name or bearer'. A bearer is not safe and is rarely used.

➢ **Order cheque** - An order Cheque states 'Pay: named person's name or order'. It is payable only to the named person or any other person authorised by the payee. It is safer than a bearer cheque.

Types of cheques

✓ Cheques can be open or crossed.

1. **Open cheques**

✓ An open cheque is a cheque that can be cashed over the counter at the drawee bank. It has no parallel lines drawn across its face.

✓ It is used when the payee has no bank account. 'l he cheque is not safe as it can be cashed by anyone.

2. **Crossed cheques**

✓ A crossed cheque has two parallel lines drawn across its face.

✓ The lines cancel out the instruction to pay on demand, therefore it cannot be cashed over the counter.

✓ The cheque must be deposited into a bank account. The crossed cheque can only be used when the payee has a bank account. It is a safe method as it can be traced if it lost.

✓ Cheque crossings can be:

- ➢ General crossings
- ➢ Special crossings.

A general crossing:

- ✓ Has two parallel lines but does not have the name of the bank or branch written between the crossings
- ✓ Can be deposited into an account at any branch or bank of the named payee.

A special crossing:

- ✓ Has two parallel lines across its face
- ✓ Has the name of the bank or branch written between the lines
- ✓ Must be deposited into the named bank and branch.

3. **Dishonoured cheques**

✓ A dishonoured cheque is one that is presented to the bank by the payee but the bank refuses to make payment against it.

✓ Usually the cheque has 'Refer to drawer' stamped or written on it.

✓ It is commonly referred to as a bounced cheque.

✓ There are a number of reasons why a bank may refuse to honour a cheque:

- ➢ There are insufficient funds in the account to cover the cheque.
- ➢ The cheque is stale (the cheque was created too long ago).
- ➢ Any alterations on the cheque are not signed.
- ➢ The cheque is post-dated (it is dated for the future).

- ➢ There are details missing from the cheque for example, there is no date.
- ➢ The amount in words differs from the amount in figures.
- ➢ The cheque is torn, dirty or mutilated.
- ➢ The drawer's signature differs from the specimen Signature at the bank.
- ➢ The drawer has been declared bankrupt or insolvent.
- ➢ The bank has been informed of the death or insanity of the drawer.
- ➢ The account has been closed.
- ➢ The drawer has made a stop payment order

4. Bank draft

✓ A bank draft is a cheque drawn by a bank on itself in favour of a customer.
✓ It is the bank's own cheque and is commonly known as a counter cheque.
✓ It is a secure method of payment as it cannot be dishonoured.
✓ Payment is guaranteed.
✓ It is often used when:

- ➢ large sums of money are involved
- ➢ The debtor is not known to the creditor.

5. Bank-certified cheque

✓ A bank-certified cheque is drawn by an account holder and signed on its face by the bank manager to guarantee payment. It is a customer cheque.
✓ The bank then sets aside the money to cover the cheque. This cheque cannot be drawn in foreign currency.
✓ Cheque card
✓ A cheque card is a card issued to current account holders to be used together with a cheque.
✓ It guarantees payment by cheque up to an agreed limit.
✓ The holder fills in the details of the card on the back of the cheque and signs it when making purchases.
✓ It can also be used to make cash withdrawals or access services at an automated teller machine (ATM).
✓ Verification is done by entering a personal identity number (PIN) and a Signature authorisation.

Advantages of making payments by cheque

✓ Payments can be made at any time. You do not need to go to the bank to obtain the cash first.
✓Cheques can be drawn for any amount and the amount is exact. They eliminate the need for change.
✓They save time because notes and coins do not need to be counted.
✓A cheque is a safe method of payment, especially when it is crossed.
✓Crossed cheques can be posted by ordinary mail.
✓ Cheques are portable.
✓ Cheques can be post-dated, which means that the cheque can only be cashed when the account holder knows there will be money in the account.

✓ Returned cheques act as receipts for payment.
✓ Cheque stubs provide a record of payment.
✓ The account holder receives monthly statements from the bank.
✓ A cheque is transferrable.

Cheque clearance

✓ Clearing a cheque involves the transfer of funds from the drawer's account to the payee's account.

✓ The process of transferring the funds varies depending on whether the drawer andpayee use the same bank, same branch or different banks.

✓ Drawer and payee use the same bank

✓ If the drawer and the payee use the same bank and

✓ the same branch, the payee deposits the cheque into his or her own account. The bank then debits the drawer's account and credits the payee's account.

✓ If the drawer and payee use the same bank but different branches, the payee deposits the cheque into his or her own account at his or her own branch and his or her account is credited.

✓ The Cheque is then sent to the bank head office where it is sorted according to branch of origin.

✓ It is then sent to the drawer's branch, which debits the drawer's account.

Example of cheque clearance

✓ Miss Mlilwane banks with CABS Bank, Chinhoyi. She pays $50.00 to Mr Mutasa's Boutique by Cheque. Raphael's Motor Spares bank with CABS Bank, Karoi.

• **Step 1**: Mr Mutasa's Boutique deposits the Cheque into the business's own account at Millennium Bank, Rusape branch. The branch credits Mr Mutasa's account.

• **Step 2**: The Cheque is sent to CABS Bank's head office where it is sorted according to the branch of origin.

• **Step 3**: The Cheque is sent to Miss Mlilwane's branch, Millennium Bank in Chinhoyi. The drawer's branch then debits Miss Mlilwane's account.

Drawer and payee use different banks

✓ If the drawer and the payee use different banks, the drawer deposits the cheque into his or her own bank and branch account and the account is credited.

✓ The Cheque is then sent to the payee's bank head office where the cheques are sorted according to banks of origin.

✓ The head office sends the cheques to the Reserve Bank clearing house, where representatives of different banks meet and physically exchange the cheques. The debts between the banks are settled.

✓ The cheque is then sent to the drawer's bank head office. The cheques are sorted according to branch of origin.

✓ The cheque is sent to the drawer's branch where the drawer's account is debited.

Automated Teller Machines

✓ An automated teller machine (ATM) is a self-operating machine that provides banking services to customers.

✓ The ATM is connected to the bank's computer system.

✓ The account holder is provided with an ATM card and PIN, which they use to access the service. The ATM allows account holders to:

- ➢ make a balance inquiry
- ➢ request a cheque book
- ➢ request a bank statement
- ➢ obtain a mini-statement
- ➢ transfer funds within the same bank
- ➢ pay bills
- ➢ purchase airtime
- ➢ Make cash and cheque deposits.

Advantages of ATMs

✓ They provide a 24-hour service.

✓ They reduce paperwork as there is no need to complete deposit or withdrawal slips.

✓ They save on labour.

✓ They save on space.

✓ Using Zim-Switch, you can use other banks' ATMs.

✓ They dispense cash quickly.

✓ You have to use a PIN for security.

Bank advances

✓ Commercial banks allow clients to borrow money which are known as advances e.g. loans and overdrafts

Bank loan

✓ A bank loan is a formal way of borrowing a large sum of money, which can be paid back over a long period of time.

✓ A loan can be given to anyone as long as they have proof of collateral security.

✓ Loans are mainly used to finance capital expenditure, such as buying machinery.

✓ A loan account is opened when a loan has been granted.

✓ Interest on the loan is fixed and is charged on the whole time the loan is approved.

✓ The rate of interest is low. The loan is repaid over a fixed period of time through fixed monthly instalments.

Bank overdraft

✓ An overdraft is an informal way of borrowing small amounts over short periods of time.

✓ This method of finance is available to current account holders only.

✓ It can only be obtained from a commercial bank.

✓ It is mostly used to finance working capital requirements or revenue expenditure such as buying stock.

✓ A bank overdraft allows the current account holder to write a Cheque for an amount that is more than what he or she has in the account, up to an agreed limit.
✓ Interest on the overdraft varies and is charged daily on the amount overdrawn.
✓ The rate of interest is usually high.
✓ The repayment period and amount varies.
✓ An overdraft does not require collateral security.

Bank cards
✓ Bank cards are all types of bank plastic cards that are issued by banks to their clients used in place of cash to purchase goods and services.
✓ They are often referred to as plastic money.
✓ They are not legal tender but represent money in your account.
✓ They include:
- ➢ credit cards
- ➢ debit cards
- ➢ ATM or cash cards.

✓ Debit cards
✓ A debit card is a card issued to an account holder to provide electronic access to his or her account.
✓ A debit card has the following features:
➢ It allows the holder to buy goods and services at point-of-sale terminals.
- ➢ Payment is immediately transferred from the holder's account to the trader's account.
- ➢ It can only be used if you have money in the account.
- ➢ It enables the account holder to withdraw cash from an ATM or through cash back when purchasing goods.
- ➢ The cardholder uses a PIN to authorise the transaction.
- ➢ There is a bank charge for each transaction.
- ➢ It can only be used within a country.

Cash-card or ATM card
✓ A cash card is provided to an account holder and is used to withdraw money from a current account through an ATM.
✓ The cardholder is given a PIN for security.
✓ The card also enables the account holder to:
- ➢ make a balance inquiry
- ➢ make a deposit
- ➢ transfer funds
- ➢ pay bills
- ➢ purchase goods and services at point-of-sale terminals
- ➢ Withdraw cash along with purchases.

Credit card

✓ A credit card allows the account holder to purchase goods and services by presenting the card as payment.

✓ It is issued to authorised customers for use at merchants who display signs accepting the cards.

✓ A credit card enables the account holder:

- ➢ A revolving-credit facility up to a given limit, the card holder can use the card to pay for something even if there is no money in the account
- ➢ Pay back the loan for purchases in full each month or by instalments
- ➢ Get a monthly statement showing the transactions for the month
- ➢ To withdraw money from an ATM
- ➢ To use the card both locally and internationally.

TOPIC 7: INSURANCE AND ASSURANCE

Principles of insurance

✓ Insurance is the pooling of risks by thousands of people from diverse backgrounds.
✓ An insurance policy is a contract between an insurance company and the insured.
✓ It is expected that both the insurer and the insured have the same understanding ofwhat is contained in an insurance policy so that arguments do not occur in the future.
✓ The insured is expected to understand the principles of insurance.
✓ The main categories of insurance are as follows:

- ➢ General insurance - this covers household, motor and travel
- ➢ life assurance - this covers illness, injury and death
- ➢ Commercial insurance - this covers companies
- ➢ Reinsurance - this is when one part of the risk is placed with another insurer.

Utmost good faith

✓ Both the insurer and the insured are expected to be truthful and honest when each submits information to the other.
✓ The insured is expected to supply information truthfully on ~'hat is going to be insured otherwise the insurance company may refuse to compensate the insured for any loss.
✓ Correct and fully-disclosed information helps an insurance company to assess the nature of any risks.
✓ A decision on the nature of the risk helps the insurance company to decide whether to cover the risks and determine the premium.
✓ Utmost good faith protects insurance companies from people who are dishonest and want to steal from insurance companies.

Insurable interest

✓ The person who wants to be covered must have an insurable interest in the matter that is going to be covered.
✓ The risk that is going to be covered must directly affect the person insured.
✓ The loss that may occur must disadvantage the insured if compensation is to be paid out to the insured. For instance, a person cannot get insurance against fire for a neighbour's house.
✓ Any damage to the house does not affect the person who is not the owner of the house. In this case, the person does not have insurable interest in the item to be insured.
✓ The insured has insurable interest in an item that will create a loss to the insured and must be compensated by the insurance company. For instance, the insured has insurable interest in his or her car, which he or she uses every day to go to work.
✓ The loss of the car will result in the person failing to get to work, therefore, the insured has insurable interest.

Indemnity

The purpose of insurance is to put the insured back into the situation he or she "vas in before the insured event occurred. Insurance compensates the insured for the loss.

✓ This is the basis of insurance and the principle of indemnity confirms the act of compensation.
✓ A contract of indemnity means that in the event of a loss, the policyholder can only be compensated for what is lost and nothing more.
✓ To indemnify means to restore the insured to the position the insured was in before the risk covered occurred.
✓ The insured cannot insure your house with several insurance companies in order to benefit from several compensations from the different companies if the insured event occurs.
✓ Insured can only be compensated up to the value of the actual loss and no more. For instance, if your house is insured to the value of $30 000 and the damage to the house after a fire is assessed to be $37 000, you are indemnified up to $30 000 and no more.
✓ Insured may not gain from the occurrence of the risk event and will not be compensated more than $30 000.
✓ The principle of a person being restored back to the position they were in before the event is only applicable to insurance policies and not to assurance policies.
✓ Assurance covers events that are going to happen sometime in the future, such as death, illness and retirement.
✓ It is difficult to compensate someone for the loss of a loved one but family members can get the benefits from an assurance policy.

Indemnity principles

✓ The following are indemnity principles:

- Subrogation
- Contribution
- Average clause
- Proximate clause.

✓ The indemnity principles are there to make sure that nobody abuses the principle of pooling risks by many people. No one must profit from the compensation paid by insurance companies.

Subrogation

✓ The insured gives all the rights over the damaged asset to the insurance company. The insurer takes the place of the insured in ownership of the damaged asset and the insurer compensates the insured for this.
✓ The insured is indemnified for the loss of the damaged asset and the insurer takes over the ownership of the damaged asset.
✓ Subrogation occurs when the insurer fully compensates the insured for the loss of a written off damaged item.
✓ Subrogation also occurs when the insured is compensated for stolen goods when recovery is not expected.
✓ If the stolen goods are recovered after compensation, the stolen goods become the property of the insurance company.
✓ This prevents the insured from benefiting from the recovery of the goods.

Contribution

✓ The contribution principle prevents people from benefiting from several insurance policies covering the same risk.

✓ Each insurer pays a proportion of the assessed loss and the insured does not profit by having a number of policies covering the same loss. E.g. someone may insure the loss of a house due to a fire.

✓ If the insured sum is $30 000 and this amount is covered by different insurance companies, the different insurance companies will proportionally share the loss up to $30 000.

Average clause

✓ The principle of average clause prevents the insured from making a profit from underinsurance.

✓ Underinsurance is when someone insures something for less than its actual value in order to pay a lower premium.

✓ Insured [owner] of motor vehicles are mostly the culprits. E.g. a car, with a value of $10 000, may be insured by the owner for $7 500.

✓ If an accident causes damages to the car that will cost $5 000 to fix, the insured will be compensated as follows:

✓ insured value x value of loss or damage actual value

$$= \frac{\$7500 \times \$5000}{\$10000}$$

= **$3 750**

✓ The insured will be paid $3 750 instead of $5 000 because the doctrine stops anyone from making a profit by underinsuring their property.

✓ The insured will have to pay the difference of $1 250, this means the insured become his own insurer.

✓ Over-insurance is another problem that insurance companies have to watch out for.

✓ This occurs when someone insures property for more than it is worth. E.g. someone may insure their house, which is valued at $100 000, for $125 000 hoping to benefit from the compensation. However, this person will have to pay higher premiums and the insurance company will only compensate him or her up to the value of the property ($100 000).

✓ Over-insurance is a waste of financial resources because the insurance company indemnifies the insured up to the actual value of the property.

Proximate clause

✓ The principle of proximate clause applies when an insurance company ascertains whether the cause of the damage or accident was caused by the event insured against as stated in the policy.

✓ It has to be proven beyond doubt that the damage or accident was caused by the risk stated in the policy.

✓ If the cause is different from the risk being covered, the insurance will not compensate the insured.

✓ Proximate cause is when the loss of a computer is not caused by fire, which was what the computer was insured for, but by theft.

✓ In above example, the insured will be covered only for a loss by fire and no compensation is paid for the theft.

Documents used in insurance

The following documents are used in insurance:

- ➢ the prospectus
- ➢ the proposal form
- ➢ the cover note
- ➢ the insurance policy
- ➢ the claim form.

1. **The prospectus**

The prospectus is a document that an insurance company issues to prospective clients showing the following details:

- ➢ The insurance company name
- ➢ The location of the insurance company
- ➢ The contact details, such as telephone, fax and cell numbers
- ➢ The types of risks covered by the company
- ➢ The premiums to be paid
- ➢ Compensation to be paid.

2. **The proposal form**

The proposal form is used to apply for an insurance policy.

✓ The information required in the proposal form is used as a basis for an insurance contract.

✓ The applicant is expected to answer all the questions in utmost good faith. If the answers are misleading or false, the policy becomes invalid or void.

✓ The form is designed to gather the following details:

- ➢ all information about what is going to be insured
- ➢ the full names of the person to be insured
- ➢ the applicant's physical address
- ➢ the applicant's profession and occupation details of the applicant's previous and current insurance details of any loss experienced
- ➢ the sum to be insured or assured
- ➢ the applicant's signature
- ➢ the date of the proposal
- ➢ the place where the proposal was done
- ➢ a declaration by the applicant that all the statements contained in the proposal are true and correct, and the applicant has not concealed, misrepresented or deliberately misstated any information.

✓ The information provided on the form enables the insurer to:

- ➢ Assess the level of risk
- ➢ Determine the type of risk (whether it is insurable or non-insurable)
- ➢ accept or reject the risk

- ➢ Calculate the premium using past statistics.

3. The cover note

✓ A cover note is issued when immediate or urgent insurance cover is required but the company is still determining the actual cover and premium applicable. For instance, they may still need to inspect the premises.

✓ The cover note is a temporary document used as evidence of protection and is issued in advance of the final policy.

✓ The terms and conditions of the policy and the period of cover are indicated in the cover note.

✓ The applicant is expected to pay for the first premium.

✓ The cover note can be used to make a claim in the event of a loss.

4. The insurance policy

✓ The insurance policy is issued after the cover note details have been fully investigated and accepted.

✓ An insurance policy is a contract of insurance between the insured and the insurance company.

✓ The insured is expected to file this document in a safe place.

✓ The insurance policy contains the following:

- ➢ The details of the risk covered
- ➢ The premiums to be paid
- ➢ The terms and conditions applicable to this policy.

✓ A Certificate of Insurance is also issued as evidence of insurance.

5. The claim form

✓ When the insured wants to be compensated for a loss, he or she must fill out an insurance claim form within the notification period, stating the following details:

- ➢ The name of the insured
- ➢ The insurance policy number
- ➢ What has been lost
- ➢ The cause of the loss
- ➢ The date of the loss
- ➢ The place where the loss occurred
- ➢ The police report or case number
- ➢ The bank details of the insured for depositing
- ➢ The compensation.

✓ An insurance claim form must be completed in utmost good faith.

✓ The insurance company studies the claim and determines whether the loss is covered by the principle of proximate cause before compensation is paid out.

✓ The insured is indemnified, or compensated, after all the details have been studied for truth and correctness of information.

Renewal notices

✓ Insurance companies send out renewal notices to its clients reminding them when some policies need to renewed, such as motor-car insurance policies, and when the payment of premiums is due to avoid the policies lapsing.

Endorsements

✓ An insurance policy is a contract between an insurance company and the insured.

✓ The two parties to the contract can agree to make amendments to the policy. E.g. a premium arrangement can be changed from being a monthly payment plan to a halfyearly payment arrangement.

Insurance procedures

Obtaining an insurance policy

✓ Decide what you want insured. – there are many different types of insurance, such as asset insurance, funeral insurance, medical insurance, life assurance, education insurance and endowment insurance. Identify the type of risk you want to be covered for. E.g. Risks are fire, floods, car accidents, theft, death, illness, fraud and many more.

✓ Confirm whether you have insurable interest in what you want to insure.

✓ Shop around for a favourable insurance product in terms of what is covered, the premiums and the sum insured or assured.

✓ Obtain an insurance prospectus from various insurance companies to compare what they offer.

✓ Obtain a proposal form from the insurance company you have chosen.

✓ Complete the proposal form, answering the questions in utmost good faith (truthfully). Discuss the risk you want covered with an insurance broker. Make sure you sign the document.

✓ The insurance company will assess the risk and determine whether it is insurable or not. The company will refer to its premium schedule for an appropriate premium and advise you to pay the first premium.

✓ Sign the cover note and then the insurance policy document, when it arrives. Return the duplicate insurance policy document to the insurance company for filing. Keep the other document safely with you.

Making an insurance claim

✓ If you have experienced a loss for which you are insured:

- ➢ Obtain a police report if the loss involved and accident, natural disaster, burglary or theft.
- ➢ Complete a claim form in utmost good faith and include the following

supporting documents:

- the police report, with number on it a medical report, if required.
- Submit the documents to the insurance company:

People in insurance

✓ The insurance industry involves a number of people who are experts in a particular field in insurance.

Assessors

✓ Assessors work for insurance companies doing the following:

- ➢ They study the details on proposal forms.
- ➢ They assess whether the risks stated on proposal forms are insurable.
- ➢ They collect statistics on the risks.
- ➢ They analyse the statistics.
- ➢ They examine damage and losses.
- ➢ They calculate the actual value of what has to be compensated.
- ➢ They recommend the amount that has to be paid out to the insured who has suffered the loss.
- ➢ If the amount' IS disputed, they negotiate what has to be paid out.

Insurance agents

✓ The role of an insurance agent is limited to introducing people looking for an insurance policy and this comprises of brokers

Insurance brokers

✓ Brokers are independent agents and professional insurance experts who:

- ➢ are agents for several insurance companies
- ➢ are appointed by someone wanting to buy an insurance policy or by an insurance company looking for clients

✓ advise prospective clients on what to insure against and what insurance products are

✓ available on the market advise the insured on how losses can be avoided

✓ provide different quotations from several insurance companies to prospective clients negotiate and obtain the appropriate and best policies for clients

✓ provide assistance to prospective clients on how to complete proposal forms

✓ conclude an insurance contract on behalf of the insurance company selected for cover

✓ provide assistance to the insured when making a claim when an event occurs

✓ are paid a commission for services rendered.

Underwriters

✓ Underwriter-, are insurers, who work for insurance companies or are insurance companies who work closely with actuaries, risk managers and claims managers to attract and retain customers by selecting competitive insurance premiums.

✓ Underwriters specialise in one type of insurance.

✓ The following are the some of the responsibilities of underwriters:

- ➢ They study insurance proposals.
- ➢ They gather and assess background information in order to effectively assess the risk involved.
- ➢ They calculate possible risks and decide how much individuals or organisations should pay for insurance (the premium).
- ➢ They decide whether the risk should be shared with a reinsurer.

- ➢ They compute appropriate premiums using actuarial information, statistics and their own judgement.
- ➢ They visit brokers or potential customers and prepare quotes.
- ➢ They liaise with specialists such as surveyors or doctors for risk assessment.
- ➢ They gather information and different types of reports [such as medical records] from specialists.
- ➢ They negotiate terms with policyholders or their brokers.
- ➢ They ensure that premiums are competitive
- ➢ They specify whether any conditions should be imposed on different types of policies, for example, they may ask a property owner to install a security alarm.
- ➢ They negotiate with brokers and draw up contracts.
- ➢ They write policies,
- ➢ They keep detailed and accurate records of
- ➢ policies underwritten and decisions made.

Actuaries

Actuaries are insurance experts who deal with the business of insurance and cover a broad area of insurance.

The functions of actuaries include the following:

- ➢ They collect data on death rates, sickness, injury, disability rates and retirements.
- ➢ They analyse the data they gather.
- ➢ They use the information they gather to assist those who are involved with insurance.
- ➢ They assess the data to predict future trends in insurance.
- ➢ They assess risks. ••
- ➢ They review statistical information on various rates of occurrences.
- ➢ They develop mathematical ideas and formulas.
- ➢ They develop computer models of statistics to determine potential risks that will need to be covered.
- ➢ They prepare reports for management.
- ➢ They recommend premium rates.
- ➢ They fix fair premiums for various types of risks.

TOPIC 8: BUSINESS COMMUNICATION

Postal services

Agents of postal services

✓ Postal services in Zimbabwe are provided by the Zimbabwe Posts (Pvt) Ltd, operating as Zimpost, and other agents of postal services, such as DHL, FedEx and TNT.

Postal services offered

- ✓ Postal services include offerings of:
- ✓ Letter services
- ✓ Business reply services
- ✓ Freepost
- ✓ Registered mail
- ✓ Recorded delivery
- ✓ Paste restante
- ✓ Parcel post
- ✓ Expedited mail services (EMS) or Priority Mail
- ✓ Express International
- ✓ Franking services
- ✓ Private bags
- ✓ Post office boxes
- ✓ Cash on delivery.

Letter services

Zimpost distributes letters to all parts of Zimbabwe using an extensive network. Postage costs depend on the weight of the article being posted and the distance it has to travel.

Ordinary mail

- ✓ which are letters posted in ordinary envelopes
- ✓ postage is low
- ✓ takes a long time to reach their destination
- ✓ sent by land to destinations within the country

Airmail

- ✓ Letters are posted in special lightweight envelopes
- ✓ Special stamps to overseas destinations or stickers
- ✓ Short time of delivery
- ✓ High postage cost
- ✓ Sent by air

NB// Letters are posted to either a physical or a postal address. A postal address can be a post box or bag that can be rented from the post office. There are certain item prohibited to be in envelopes and parcels and include:

- ✓ Items made in prisons,
- ✓ Money [coins and notes]
- ✓ Securities of any kind payable to a bearer,
- ✓ Traveller's cheques,

- ✓ Mineral ore [platinum, gold, silver, precious stones]
- ✓ Jewellery,
- ✓ Firearms,
- ✓ Honey,
- ✓ Lottery tickets
- ✓ Perishable
- ✓ Infectious biological substances.

Advantages

- ✓ Letters provide a written record of the communication or message.
- ✓ Letters facilitate social interaction between friends and family.
- ✓ Letters can be read more than once to ensure that the receiver understands the message.
- ✓ Letters sent by airmail reach their destination faster.

Disadvantages

- ✓ Letters can get lost in transit when post office employees do not read the delivery address correctly and then send the letter to the wrong address.
- ✓ Unauthorised people can read letters.
- ✓ The sender has no guarantee that the letter has been delivered, has been received or read.
- ✓ Airmail can be an expensive way to send letters.

<u>Business reply</u>

- ✓ The service is used for market research:
- ➢ Encourages responses
- ➢ Respondent does not pay for postage
- ✓ Sender obtains a licence from Zimpost
- ✓ Sender pays a deposit
- ✓ Mail is written business reply services
- ✓ Respondent uses printed envelopes or cards
- ✓ The cards have names and addresses of the sender and receiver
- ✓ It has a licence number
- ✓ Licence pays for postage on mail returned

Advantages

- ✓ It enables traders to advertise their goods and services.
- ✓ It encourages potential customers to reply to advertisers immediately.
- ✓ The respondent does not pay for postage.

Disadvantages

- ✓ The sender (business) does not know if the document with the reply card or envelop was delivered to the recipient.
- ✓ The sender (business) does not know if the document was opened or read.
- ✓ The sender must pay for each reply card or envelope returned.

<u>Free post</u>

- ✓ The service is a variation of business reply service
- ✓ User needs to seek for approval from Zimpost
- ✓ If granted one pays a deposit

- ✓ All Free post mails are written Free post before the address
- ✓ Sender does not pay for postage
- ✓ Recipient pays surcharge on usual postage

Advantages

- ✓ Freepost enables customers to quickly respond to a survey.
- ✓ Customers do not need to pay for postage.
- ✓ The business receiving the document that was sent via freepost will only pay for the actual items received.

Disadvantages

- ✓ The business has to pay to use the freepost service.
- ✓ The business has no idea how many responses will be received.

<u>Express mail services (EMS)</u>

- ✓ EMS is a national and international delivery service for urgent letters, documents and packages.
- ✓ Zimpost takes advantage of its national network and its partners in other countries to offer this service.

Advantages

- ✓ This service provides fast next-day, door to- door or counter-to-counter delivery to destinations in all major centres within Zimbabwe.
- ✓ Items are delivered to the physical address stated on the letter or parcel.
- ✓ This service is safe and secure because the item is delivered directly to the intended recipient.
- ✓ There are flexible payment options (cash or 30-day account) for this service.
- ✓ There is proof of delivery.
- ✓ The item is collected directly from the sender.
- ✓ The sender can insure the item for any loss, theft, delay or damage.
- ✓ You can track all items in transit.
- ✓ EMS moves incoming and outgoing items quickly to their destinations.

Disadvantages

- ✓ EMS is expensive to use due to higher transportation costs and the additional option of insurance.
- ✓ Delivery could be delayed if the transportation vehicle or aeroplane is delayed or has a breakdown.
- ✓ Delivery is made to the physical address stated on the package or letter and there is a possibility that the addressee will not be at the address stated on the parcel.

<u>Registered mail</u>

- ✓ Registered mail is used to send important documents, such as certificates and contracts.
- ✓ Use of a special envelope and you can insure the parcel against loss, damage or theft.
- ✓ A certificate of posting is issued. Compensation for and loss is in proportion to the value of the item.

Advantages

- ✓ It provides a safe and secure means of communication.
- ✓ The user is reimbursed for any loss from damage or theft, if insured.

- ✓ The sender can request proof of delivery.

Disadvantages

- ✓ It is expensive in terms of paying for insurance to cover loss or theft.
- ✓ Depending on the contents of the parcel, the compensation received in the event of loss or damage might not be adequate to replace the damaged or lost documents.

<u>Recorded delivery</u>

- ✓ It is used to send valuable items, and important documents. E.g. certificates and summons
- ✓ Ha proof of postage and delivery
- ✓ Can be traced if lost
- ✓ No compensation is paid if lost
- ✓ It has a registered number
- ✓ Articles handed over the counter personally
- ✓ Provides security in transit

Advantages

- ✓ Each item has a registered number so it can easily be found.
- ✓ It is a secure way of sending items between the sender and the recipient.
- ✓ Disadvantages
- ✓ No compensation is paid for lost items.
- ✓ Articles must be handed in at Zimpost counter.

<u>Franking machine</u>

- ✓ Some business organisations hire or buy franking machines from Zimpost,
- ✓ Gives them a licence to use these machines.
- ✓ The hiring business pays the post office for a certain amount of postage
- ✓ Uses the franking machine to print a stamp onto outgoing mail [prints postage impression PPI]
- ✓ Used to print large volumes of postage
- ✓ Hirer pays for a deposit before using the machine
- ✓ Has a device to check if the machine has been tempered with

Advantages

- ✓ Companies put logos onto the stamp or
- ✓ Inscribe messages on the postage as a way of advertising.
- ✓ A business using a franking machine saves time otherwise it would have to spend time affixing postage stamps

Disadvantages

- ✓ It can only be used if the business has paid the postage upfront.
- ✓ Companies using franking machines must regularly have the machines checked and serviced to ensure that postage paid is reflected clearly on the envelopes.

<u>Poste restante</u>

- ✓ Poste restante is a term used for mail that is to be collected. This service is used by people with no fixed addresses, e.g. sales people and tourists.
- ✓ Letters or parcels are addressed to the nearest post office
- ✓ Must have 'poste restante' clearly written on the envelope or parcel.
- ✓ Post restante mail is held at the post office until the addressee collects the letter or parcel.

✓ The addressee must provide positive identification before he or she can receive the said letter or parcel.

Advantages

✓ It is an easy way to send letters or parcels to people who have no fixed address at the given time.

✓ It is a relatively secure and safe way of sending parcels and letters.

Disadvantages

✓ If the recipient is no longer close to the addressed Zimpost, the parcel or letter could be lost.

✓ If the addressee has no positive identification to prove his or her identity, the parcel or letter will not be delivered.

Cash on delivery

✓ The cash-on-delivery (COD) service is used by mail order firms.

✓ The ordered Item is delivered to the Zimpost and the customer pays the post office for the item when coming to fetch it.

✓ The Zimpost acts as a collection agent for the sender.

Advantages

✓ This is a good way to send parcels because the sender (in this case also the seller) does not keep money tied up in bad debts nor does the seller need to send reminders for outstanding payments.

✓ The addressee (or customer) does not need to send money in advance to the sender.

Disadvantages

✓ It could take a while for the post office to forward the collected amount.

✓ There is an additional cost to the sender for using the service.

✓ The customer could take a long time to collect the item, ca using a delay in the sender receiving the money owed to them.

Post office boxes and private bags

✓ People and business organisations can rent a post box or private bag at any post office.

✓ Post office personnel place all mail and ordinary parcels in the boxes and bags.

✓ Post office boxes and private bags provide security to people and business organisations that do not have street addresses or live out of town or where postal deliver) is irregular or not accurate.

✓ Numbered post office boxes are found on the wall outside each post office to facilitate the collection of mail at any time of the day.

Advantages

✓ It is a safe and secure way of sending mail at regular intervals.

✓ If you ore on leave or if the business is closest for a specific period, the mail will be kept safe place until you can collect it.

Disadvantages

✓ Some Zimpost offices close the area close at specific times each day for safety reasons, this could mean that the convenience of collecting at any time is jeopardised.

✓ There is the additional cost of traveling to the post office to collect mail,

✓ One has to cater for transport charges for collecting the letters

✓ Letters are prone to be opened before reaching their final destinations

- ✓ Information in the letters can become outdated if no collects the letters

Courier services

✓ Courier services are used for personalised door-to-door delivery of parcels and mail during working hours

✓ this service uses tracing system so that customers can track their mail anywhere in the world anytime using the internet

✓ Zimpost offers the following courier services:

➢ The express delivery of documents, parcels, flowers and cards to urban residents.

➢ The overnight service allows customers to send parcels or documents to any part of Zimbabwe to arrive the next day.

✓ There is a cut-off time for acceptance of documents or parcels each day to ensure that the promised delivery time is met.

✓ Documents or parcels arrive at their destinations by 9:30 am the next day.

✓ International couriers, such as DHL, allow customers to send parcels or documents to any destination in the world. They are very reliable, affordable, convenient and fast to use for sending parcels or documents.

✓ Although it is a costly way to send parcels or documents, using international couriers is a more secure way to send items because they have to maintain an international reputation.

Advantages

✓ It is a safe, secure and fast way of sending mail and parcels.

✓ Each item has a unique tracking number that is only used once.

✓ Most courier companies have a website where the sender can track the mail or parcel as it travels to the addressee.

Disadvantages

✓ This service is relatively expensive.

✓ Items could be delivered after the promised time (for example, if a vehicle breaks down or staff go on strike).

Communication

✓ It is a process of sending and receiving information through different channels of transmission.

✓ It is a process of encoding and decoding information through different channels of transmission.

✓ It is the process of conveying information from a sender to a receiver using a medium of transmission.

Effective communication

✓ A message is a specific combination of symbols used by a sender to transfer an idea to a receiver.

✓ The receiver should be able to understand the specific combination of symbols.

✓ Communication occurs when a message is transferred from one person (sender) to another person (receiver).

- ✓ Sending and receiving of information must be effective. Effective communication is where the message sent from the sender is received, understood and acted upon in the way intended by the sender.
- ✓ Communication can be one-way or two-way, One-way communication is less effective than two-way communication because the sender will not know if the receiver understood the message.
- ✓ When two-way communication takes place, the sender and receiver can communicate to make sure that the intended message was received, in this way, any misunderstanding or confusion can be eliminated.

One - way communication

- ✓ It is a communication method where information moves in a single direction and there is no feedback

Two - way communication

- ✓ It is a communication method where information moves in both directions, the message is sent and there is feedback

Importance of effective communication

- ✓ Ensure that the correct message is sent and that the receiver understands it as the sender had intended.
- ✓ It is therefore important that the sender and the receiver understand the specific set of symbols used to create the message and that the message is sent in a way that the original message arrives at the receiver without alterations or disruptions in the sending method.
- ✓ Ensures the organisation is adoptable to changes in the environment
- ✓ Eliminates conflicts within the business
- ✓ Reduces labour turnover
- ✓ Fair allocation of resources
- ✓ Enables the business to work towards a common goal
- ✓ Eliminates mistakes and defective products
- ✓ Lowers unnecessary costs such as reworking and legal costs

Advantages of effective communication in the business environment

- ✓ Effective communication allows staff to participate in decision making.
- ✓ The business can quickly respond to changes in the market, such as price changes.
- ✓ Effective communication enhances the co-ordination between the departments in the organisation. For example, good communication can help the production and marketing departments to work effectively together.
- ✓ The management functions of planning, organising, leading and controlling are only possible when effective communication is present.
- ✓ Good decisions can be made because of consultation and effective communication between all stakeholders.
- ✓ Mistakes or misunderstandings are reduced.

Enhancers of effective communication

- ✓ There are three main factors that contribute to enhanced effective communication:
- ✓ Active listening
- ✓ Direct expression

- ✓ Co-operative dialogue

Active Listening

✓ With active listening, the sender must be clear in what he would like to convey and the receiver must be clear about what is heard. Both sender and receiver must be open to different opinions and responses.

Direct expression

✓ Use language and symbols that are clear to both sender and receiver, and make sure that there is not a possibility of a second interpretation of the message.

Co-operative dialogue

✓ Dialogue includes verbal and non-verbal communication. It also involves using of the correct words within the context of the message and both sender and receiver understanding the language. Some research indicates that a successful transmission of a message is 90% body language and 10% verbal language.

Barriers to effective communication

✓ A barrier is anything that disturbs the communication process. Communication can fail with the sender, medium, receiver or on the feedback.

Barrier description How the barrier can be overcome

Barriers description	**How the barrier can be overcome**
The language used is too difficult; jargon or technical terms may not be understood by the receiver.	Use clear and simple language. Avoid the use of technical jargon unless a glossary IS part of the document.
The sender uses verbal communication but speaks too fast or not clearly enough	The sender should make the message as clear as possible Ask for feedback to ensure the message is being understood.
The message is too long and too much detail prevents the main points being understood	The message should be as brief as possible
The sender communicates the wrong message or passes it to the wrong receiver	The sender should make sure that the right person is receiving the right message
The message may be lost.	It is Important to insist on feedback If no feedback is received then the sender assumes the message was lost.
The wrong channel has been used (such as the use of a noticeboard that people ignore).	The sender should select the appropriate channel for each message sent
If the message is sent down a long chain of command, the original meaning of the message may be lost or it could become distorted.	The shortest possible channel should be used.

No feedback is received.	A meeting is more useful as it encourages feedback.
They might not be listening or paying attention.	Emphasise the importance of the message. The receiver must ask for feedback to ensure understanding
The receiver may not like or trust the sender. They may be unwilling to act on his or her message.	There should be trust between the sender and the receiver, or another sender should be used who is trusted by the receiver.
There is no feedback.	Perhaps no feedback was requested or the communication method used did not allow feedback.
Feedback is received too slowly or is distorted. Perhaps the feedback is passing through too many people before being received by the original sender of the message.	Encourage direct lines of communication. Direct communication is always more effective.

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TOPIC 9: TRANSPORT

Factors affecting choice of transport mode

Nature of the goods - The types of goods to be carried should be assessed in terms of their value, and whether they are fragile, perishable, bulky, heavy or light, before choosing a mode e.g. when transporting light and high-value goods over a long distance, air transport may be the most appropriate.
Cost - How much you are willing to pay for the freight charges will be a factor in choosing a mode. Some modes are more expensive to use, such as air transport.
Distance - Consider how far the goods have to be carried. Road transport is more efficient over short distances, while air and rail transport are ideal for long distances.
Urgency of delivery - How fast must the goods get to their destination? Fast modes of transport must be selected where goods are urgently required.
Quantity of goods - The size of the load must be considered in relation to the capacity of the mode, some modes, such as rail and sea transport, are suited to large volumes of cargo, while others can only carry small loads.
Availability of mode - Not all modes of transport are available in all areas. Road transport is widely available, whereas air, sea and rail transport are limited to certain areas.
Security of cargo - How safe are the goods in each mode? Some modes are prone to theft and damage and therefore cannot be used to transport valuable items. Air transport has low risks of theft and damage.
Flexibility of mode - Rail, sea and air transport operate on fixed routes and to fixed timetables. Road transport provides a more flexible service as the goods can be rerouted easily and this mode is readily available.
Reliability of mode - Rail transport offers a regular service compared to other modes as it is not affected by bad weather. Road, sea and air transport may not be useable when there are storms, strong winds or other bad weather elements.
NB// these factors must not be considered in isolation. A number of these factors may influence your choice at the same time.

Documents used in transport

Transport documents are documents used to provide information about the goods being carried. The type of document used depends on the mode of transport. The table below shows the ommon documents used in transport.
Document Transport where used

- Bill of lading –Sea
- Airway bill- Air
- Charter party -Sea
- Consignment note- Road or railway
- Delivery note -Road

1. **Bill of lading**

A bill of lading is a document issued when goods are transported by sea. It is issued by the shipping company. The bill of lading is issued in triplicate (three copies are prepared) and distributed as follows:

- ✓ A copy is sent ahead of the goods by air to the importer
- ✓ Another copy accompanies the goods and is kept by the shipping company
- ✓ The third copy remains with the exporter.

Contents of the bill of lading

The following is a list of the information on the document:

- ✓ A description of the goods
- ✓ The quantity of the goods in terms of number of containers, cases or packages
- ✓ Names and addresses of the exporter and the importer
- ✓ Name of the vessel
- ✓ Name of the shipping company
- ✓ Port of loading and port of off-loading
- ✓ Terms of freight
- ✓ Signature of the master of the ship.

Functions of the bill of lading

- ✓ **Contract of carriage** - The bill of lading is an agreement between the exporter and the shipping company to carry the goods.
- ✓ **Document of title** - The importer needs the document to claim ownership of the goods described on it.
- ✓ **Acknowledgement of receipt of goods on board** - The document is signed by the shipmaster as proof of loading.
- ✓ **A quasi-negotiable instrument** – The document can be transferred to another person by endorsement. This enables the importer to sell the goods before their arrival.
- ✓ **It shows the conditions of the goods** - If some goods are damaged, the shipmaster makes notations on the document, and this is known as a **'dirty bill'**. If all the goods are in good condition, no marking is made on the bill, and this is known as a **'clean bill'**.

2. Airway bill

An airway bill is a document used when goods are transported by air. It is issued by the airline. The document is prepared in duplicate and is send together with the goods. It is also known as an air consignment note.

Contents of the airway bill

- ✓ The quantity of the goods
- ✓ The description of the goods
- ✓ The origin and destination of the goods
- ✓ The name and address of the airline
- ✓ The flight number
- ✓ The names and addresses of the exporter and the importer
- ✓ The terms of freight.

Functions of the airway bill

- ✓ A contract of carriage - This is an agreement between the exporter and the airline for the carriage of goods.
- ✓ Acts as proof of receipt of the goods on board
- ✓ The captain of the aeroplane signs the document to provide proof that the goods were loaded onto the aeroplane.
- ✓ It is a means of clearing goods in international trade.

3. Charter party

A charter party is a contract document used in international trade when using sea transport. It is used when hiring a ship or space on a ship.
The contract can be a:

- ➢ **Voyage charter** - This is when you hire a ship for a specific journey, for example, hiring a vessel to travel from Beira to Port Elizabeth.
- ➢ **Time charter** – This is when you hire a vessel for a specific period of time.
- ➢ **Demise charter** - This is where the ship is hired together with its crew (workers).

✓ The charter party document specifies:

- ➢ the lay days - time allowed for loading and off-loading the vessel
- ➢ demurrage - the fine charged for exceeding the lay days
- ➢ The names and addresses of the ship owner and the hirer.

If you hire a Ship and you are unable to fill it, the amount paid for the unused space is known as dead freight.

4. Consignment note

✓ A document used when a supplier hires another company to deliver the goods. You can have a:

- ➢ Road consignment note when road transport is used
- ➢ Rail consignment note when rail transport is used.

✓ The document is issued by the transport firm in triplicate.

- ➢ One for the consignee
- ➢ One for the cognisor
- ➢ One for the shipping/ transporting company

✓ The consignment note acts as:

- ➢ a contract of carriage, which is an agreement between the transport firm and the consignor (the person sending the goods)

✓ Proof of delivery, when a copy of the document is signed by the consignee (person receiving the goods) and returned to the consignor as proof of delivery.

The document provides:

- ✓ The name and address of the transport firm
- ✓ The names and addresses of the consignor and the consignee
- ✓ A description of the goods
- ✓ The quantity of goods
- ✓ Terms of carriage
- ✓ Any markings or numbering on crates
- ✓ The date of issue.

5. Delivery note

- ✓ A document prepared by a supplier when the supplier uses his or her own transport to deliver the goods. It is sent together with the goods. The delivery note is usually enclosed in the package. The document is used:
  - ✓ To check accuracy of delivery
  - ✓ As proof of delivery.
  - ✓ The delivery note contains the following information'
  - ✓ A description of the goods sent
  - ✓ The quantity of goods
  - ✓ Terms of delivery
  - ✓ The date of delivery
  - ✓ The names and addresses of the buyer and the seller.

Port authorities

A port authority is an organisation or body that controls and manages the activities in a port. A port is a terminal where transport loads and offloads goods. There are two types of port authorities namely:

- Sea port authority
- Airport authority

Facilities and services of port authorities

- ✓ Communication links
- ✓ Transport links
- ✓ Storage facilities
- ✓ Loading and off-loading facilities such as cranes and forklifts
- ✓ Refuelling facilities
- ✓ Repair and maintenance facilities
- ✓ Waiting rooms
- ✓ Rest rooms
- ✓ Parking space
- ✓ Office space for customs officials, banks and traders
- ✓ Security
- ✓ An information desk
- ✓ Information on weather and departure and arrival times
- ✓ Accommodation facilities
- ✓ Radar facilities to guide traffic.
- ✓ These functions and facilities are provided by all port authorities. However, there are certain services and functions that are specific to seaports and airports.
- ✓ seaport authorities provide:
  - ➢ Pilots and tug boats to guide ships
  - ➢ Adequate dock workers (for example, stevedores)
  - ➢ dredging facilities to maintain approaches to the port
  - ➢ Dry docks for repairing ships.
- ✓ Airport authorities provide:
  - ➢ well-maintained and level runways
  - ➢ Hangars
  - ➢ Road links into town.

TOPIC 10: WAREHOUSING

Importance of warehousing

- ✓ Proximity to production centres – Goods required tor production are kept in warehouses near production centres so that they can be supplied to production factories on a regular basis.
- ✓ Minimise price fluctuations - A constant and regular supply of a particular good reduces a shortage, which may result in high prices.
- ✓ Surplus goods - Instead of flooding the market with goods, the surplus is removed from the market and kept in a warehouse for future supply.
- ✓ Security issues - Smaller warehouses reduce pilferage and theft of goods from places that are easily accessible to workers or large groups of people.
- ✓ Display of goods - Some goods, such as electronic goods and cars, are kept and displayed in warehouses before sale.
- ✓ International trade - Some goods are kept in warehouses before customs duty is paid and the goods are permitted to enter or leave a country.
- ✓ Buffer stocks - Warehouses are used to hold minimum stocks to reduce shortages of essential items, like mechanical parts for big machines used in the manufacturing industries.
- ✓ Preparation for sale - Traders can sort, pack and label goods before selling them to customers.
- ✓ Conditioning some goods - Some goods, such as cheese, tobacco and wood, are kept in special warehouses until their quality, taste and durability are achieved.

Functions of warehousing are:

- ✓ to keep perishable goods until they are distributed
- ✓ to keep raw materials, consumables and finished goods
- ✓ to store goods from a variety of manufacturers
- ✓ To blend, grade, package and brand good,
- ✓ To store goods that are in transit

Warehouses for primary producers

- ✓ It is a warehouse that keeps perishable goods, such as meat, fish, milk and vegetables, until they are distributed.
- ✓ These types of warehouses also make it possible to keep fruit and vegetables longer and even artificially ripen fruit and vegetables. This method ensures that seasonal fruit and vegetables can be bought throughout the year.

Warehouses for manufacturers

- ✓ The warehouses for manufacturers are used for keeping raw materials, consumables and finished goods. This enables the manufacturer to keep on producing goods when there is less demand. These warehouses are located in production factories.

Wholesaler warehouses

- ✓ Wholesaler warehouses are used to store a variety of goods from different manufacturers. The goods can be blended, graded, packaged and branded at these warehouses. These warehouses help to steady the prices of goods and to prevent shortages of goods on the market.

Transit warehouses

- ✓ Goods that are being transported from one place to another are stored in transit warehouses awaiting distribution to retailers and consumers.

Retailer warehouses

- ✓ Retailer warehouses store goods from a variety of wholesalers and manufactures. The goods are packed and branded in the retailer's brand name before being transported to the retailer's branches.

Barcoding in warehousing

- ✓ Bar codes can be used to track each product in the warehouse. Each product has a unique barcode.

Advantages of barcoding

- ✓ There is a decrease in clerical costs because manual entries are eliminated.
- ✓ There are fewer errors due to improved inventory tracking and verification of items.
- ✓ There is increased inventory accuracy.
- ✓ It improves worker efficiency.
- ✓ It improves the scheduling of warehouse activities.
- ✓ It helps businesses identify products in the warehouse.
- ✓ A bar code can assist with tracking the full life cycle of fruit and vegetables for example, a bar code on a box of apples arriving in the UK from South Africa will be able to provide a full history of:

- ➢ the farm it came from
- ➢ how much pesticide was used on it
- ➢ how long it was in cold storage
- ➢ when it was packed
- ➢ when it left the South African harbour
- ➢ The date it arrived in the UK.

TOPIC 11: MARKETING

Market Segmentation

The market for a product can often be broken down into different segments in a process called segmentation. Segmentation is a marketing strategy that invovles division of a broard market into different subsets or groups(segments) or consumers awith similar charactoristics, using crateria such as sex,age or income. Consumers in the same segment share the same need for the product. Market segmentation results in each segment being investigated in detail to find out the specific product features, advertising appeal and pricing strategies required for each segment.

The basis for segmentation include demographic, geographic, psychological and behavioral variables.

Geographic Segmentation

- This is dividing a market into different geographic units such as nations, religions, cities or neighborhoods.
- It assumes that people in different geographical locations portray or have different needs and wants.
- For example, people in the Chimanimani rocky areas require hard surfaced shoes compared to those in the flat areas.

Demographic Segmentation

- This is dividing a market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, generation and nationality, that is, population characteristics.

Gender Segmentation

- This is dividing a market into different groups based on gender. This has long been used in clothing, cosmetics, magazines and toiletries.

Income Segmentation

- This has been long used in automobiles, clothing, cosmetics, financial services and travel.
- Many companies target affluent consumers with luxury goods and convenient services.
- Firms can create the dollar stores for low income earners.

Psychological Segmentation

- This is dividing a market into different groups based on social class, lifestyle or personality characteristics.
- These are to do with social classes, lifestyle and personality.
- Social classes can be divided into different types of groups such as higher managerial, for example, directors, and middle managerial, for example, managers and lower class.
- Lifestyle – achievers, strivers, survivors.
- Personality – compulsive, gregarious, authoritarian, ambitious.

Behavioral Segmentation

- This is dividing a market into different groups based on consumer knowledge, attitude, use or response to a product.

Occasional Segmentation

- This is dividing a market into different groups according to occasions.
- When buyers get the idea to buy, they actually make their purchases for use of the purchased product, for example, eggs are most consumed at breakfast.

Benefit Sought Segmentation

- This is dividing the market into groups according to different benefits that consumers seek from the product.
- This requires finding the major benefits people look for in the product class, the kinds
of people who look for each benefit and major brands that deliver each benefit.

N.B.: Targeting segments: The firm can use:

- Undifferentiated marketing
- Differentiated segmenting.
- Concentrated marketing.
- Micro marketing.

Advantages of Market Segmentation

1. It reduces product failure. It helps the organization in designing an appropriate marketing mix for the group of consumers and the organization will have an assumption that the product is going to be accepted.
2. It reduces costs involved in marketing products. This means instead of designing a marketing mix for the whole population, financial resources can be channeled towards a selected group of consumers rather than to the whole population.
3. It helps the organization to keep in touch with any changes in consumer preferences. The company is able to design an appropriate marketing mix. This helps to design marketing strategies or tactics that meet a specific group of consumers.
4. It enables the organization to minimize resource wastage. By segmenting, the market resources are used accordingly depending on the segments that the organization is dealing with, for example, a business can direct resources to one segment only, instead of making the product available to everyone.
5. It helps in improving the corporate image of the organization. This means by segmenting the market, the business is able to satisfy consumer needs and wants by developing an appropriate product.
6. It increases the organizational competitive advantage over its rivals. It is a competitive strategy which can be used to fight competition from rivals through segmentation.
7. Business can define their markets precisely and design goods that focus on targeted groups of consumers.
8. It helps increase brand loyalty. The brands of the company are preferred more than the brands of rivals.
9. Small firms that may not be able to compete in the whole market are able to specialize in one or two segments.
10. Products are tailored to meet demands, that is, it is easy to estimate demands of a particular segment than the whole market.
11. It facilitates the identification of other marketing opportunities.

Disadvantages of Market Segmentation

1. Market segmentation depends on the nature of the research and the skills that are used to collect data. This means that the results of market segmentation may not be effective if the research process was not properly done.
2. It is a time consuming process because it requires a lot of time to divide the markets.
3. Some factors which can be considered such as preferences are dynamic (changes) and this means segmentation can be affected to the extent that it might be useless.
4. Market segmentation means spending a lot of resources and this may increase production and operational costs.
5. It results in a complicated production system, for example, there will be the need to buy different types of machines and to employ different workers to meet different consumer characteristics.
6. It may result in a change of organizational culture and this may result in demotivation.
7. It requires highly skilled and specialized research experts and these are expensive to employ and they are not always available.
8. It involves a lot of work from data collection, analysis, and evaluation up to segmentation of the market.
9. Promotional costs may be higher as different strategies may be required for different segments.
10. By focusing on one or two segments, there is a danger that more resources are required to develop differentiated products and excessive specialization may lead to problems if consumers in those segments change their purchasing habits.

Criteria for Effective Segmentation/Requirements for Effective Segmentation

- Measurable – the size, purchasing power and profiles of the segment should be measurable.
- Accessible – the segment should be effectively reached and served.
- Substantial – the segments should be large or profitable enough to serve.
- Differentiable – the segments are distinguished to create groups.
- Actionable – effective programs can be designed for attracting and serving the segments.

Mass Marketing (Undifferentiated Marketing)

This is a marketing coverage strategy in which a firm decides to ignore market segments differences and go after the whole market with one offer.

- It can mean advertising or promotion of products to a large number of customers.
- It ignores the existence of segments and offers a single mix to the heterogeneous market.

Advantages of Mass Marketing

- Maximizes income.
- Allows brands to be used to their full value.
- It focuses on high sales and low costs.
- It is easier to organize and control rather than setting products to suit different

segments.
- It facilitates choice maximization.
- It eliminates shortages thereby customer loyalty.
- Reduces production cost per unit.

Disadvantages of Mass Marketing
- There is limited market orientation of goods to the market.
- High development costs of the product as it will be sold to different customers.
- High levels of competition.
- Failure might lead to wastages of resources and loss of sales.

Niche Marketing (Concentrated Marketing)

- A market coverage strategy in which a firm goes after a large share of one or a few segments or niches.
- A particular segment is targeted.

Advantages of Niche Marketing
- Less competition as they are small and attract less competitors.
- Brand loyalty increases.
- It increases business income.
- It helps a firm achieve strong market position because of its greater knowledge of customer needs.
- It can market effectively by fine tuning its products' prices.
- It can also market efficiently, targeting its products, prices, channels and communication programs towards consumers. It can serve best and profitability.
- Costs reduction strategies.

Disadvantages of Niche Marketing
- If the segment turns sour, the firm suffers greatly.
- Large competitors may decide to enter the same segment with greater resources.
- The firm may fail to properly segment the market.
- Large prices which is complex and require exports.